ECONOMIC SURVEYS

# FRANCE

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JULY 1965

# BASIC STATISTICS OF FRANCE

## THE LAND

| | |
|---|---|
| Area (1,000 sq. km) | 551 |
| Cultivated area (1,000 sq. km) | 188 |
| Major cities (census of 1962) : Inh. | |
| — Paris | 2,811,171 |
| — Marseille | 783,738 |
| — Lyon | 535,784 |

## THE PEOPLE

| | |
|---|---|
| Population (end of 1964) | 48,660,000 |
| No. of inhabitants per sq. km | 88 |
| Net increase in population | |
| — Annual average (1963-64) | 643,000 |
| Natural increase in population per 1,000 inh. | |
| — Annual average (1960-63) | 6.7 |
| Civilian labour force (end of 1962) | 18,945,000 |
| Influx of foreign workers average (1963-64) | 134.600 |

## PRODUCTION

| | |
|---|---|
| Gross national product in 1964 (billions of francs) | 431.9 |
| G.N.P. per head (U.S. $) (1964) | 1811 |
| Gross fixed investment, (1964) : | |
| — Per cent of G.N.P. | 22.6 |
| — Per head (U.S. $) | 409 |
| Origin of the gross domestic product at market prices (1964) | |
| — Agriculture | 8% |
| — Manufacturing and mining industries | 38% |
| — Construction | 8% |
| — Others | 46% |

## THE GOVERNMENT

| | |
|---|---|
| Public current expenditure in 1964 (% of G.N.P.) | 33.8 |
| General Government current revenue in 1964 (% of G.N.P.) | 38.4 |
| Gross fixed investment financed by the State in 1964 (% of G.N.P.) | 2.7 |

Composition of Parliament :

| | Natnl. Assembly | Senate |
|---|---|---|
| — Union for the New Rep. | 233 | 30 |
| — Socialists | 68 | 52 |
| — Democratic Centre | 55 | 6 |
| — Communists | 40 | 13 |
| — Independant Republicains | 34 | 64 |
| — Democratic Left | — | 49 |
| — Others | 52 | 60 |
| Total | 482 | 274 |

## LIVING STANDARDS

| | |
|---|---|
| Calories per head, per day (1959-60) | 2,990 |
| Net consumption of electricity per head (1964) (kWh) | 1932 |
| No. of passenger cars per 1,000 inh. (1964) | 162 |
| No. of T.V. sets per 1,000 inh. (1963) | 72 |
| Average hourly wage in metal industries in Paris region . . . Fr. (1964) | 3.86 |

## FOREIGN TRADE

Exports :

| | |
|---|---|
| Exports of goods and services including those to franc area as a percentage of the G.N.P. (1964) | 14.5 |
| Main exports as a percentage of total exports excl. franc area (1964) : | |
| — Food, beverage and tobacco | 15.8 |
| — Machinery and electrical equipment | 14.3 |
| — Steel | 10.9 |
| — Chemical products | 9.7 |
| — Textiles | 6.8 |

Imports :

| | |
|---|---|
| Imports of goods and services as a percentage of the G.N.P. including franc area (1964) | 14.6 |
| Main imports as a percentage of total imports excl. franc area (1964) : | |
| — Energy and lubricants | 16.7 |
| — Machinery and electrical equipment | 12.7 |
| — Food, beverage and tobacco | 12.1 |
| — Steel | 11.2 |
| — Chemical products | 5.9 |

## THE CURRENCY

Monetary unit : the Franc

Currency units per U.S. $ : 4.90.

ECONOMIC SURVEYS BY THE OECD

# FRANCE

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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*The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.*

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## I. GENERAL PICTURE

Inflationary pressures induced the French authorities in September 1963 to adopt a Stabilization Plan. The continued enforcement of the essential features of this Plan had a profound effect on the performance of the French economy throughout 1964 and the first half of 1965. The Plan produced an almost immediate reversal of inflationary trends and curbed the upward movement of prices. From the second quarter of 1964 onwards the combined effects of the Plan and a spontaneous reversal of demand trends caused economic activity to level off. This first became apparent in a slowing down of consumption and investment, and only later spread to industrial production and imports. Stocks accumulated by the end of the year were consequently high, and this undoubtedly had an adverse effect on trends in the early months of 1965.

Paradoxically enough, although the monthly movements of the majority of indicators reveal a levelling off of economic activity from the second quarter onwards, 1964 appears in the yearly averages as a year of very high growth rates. National accounting experts were obliged moreover to revise upwards their original forecasts for 1964, the rate of growth of the gross national product being raised from 5.2 per cent (forecast of October 1964) to 5.7 per cent (National Accounting figures of May 1965). This rapid growth is in large part the result of the pattern of trends in 1963, and in particular the vigorous expansion of the last three months of that year. At the beginning of 1964 gross domestic production for example was already up by 3.5 per cent on the 1963 average. 1964 is in this respect a classic example of the misleading conclusions which can arise from analysis based exclusively on annual averages. It is a reminder of the advantages of developing quarterly statistics in national accounting.

Besides the poor performance of private productive investment which first became evident towards the end of 1962, there were other factors which tended to blunt the growth of demand in 1964. The tight budget policy undoubtedly exerted a deflationary effect on the equilibrium level of activity, government receipts increasing by 13.3 per cent compared with the previous year, whereas expenditure rose only by 6.7 per cent. Consumption by households slowed down as a consequence of smaller increments to incomes and the allocation of a large proportion of these incomes to

investment in housing, which increased by almost 18 per cent by volume compared with 1963. The trend of foreign trade, like that of public finances, also exerted a deflationary effect, but not to the same extent. The trade balance fell from 2.7 billion in 1963 to 0.5 billion in 1964. Imports increased by 16 per cent, most of the increase occurring in the first quarter, while exports rose by only about 10 per cent. The biggest deficit occurred in the second quarter.

TABLE I. **RESOURCES AND USES IN 1964**

*Millions of francs.*

| | 1963 | 1964 | | | |
|---|---|---|---|---|---|
| | VALUES AT CURRENT PRICES | INDEX OF VOLUME | VALUES AT 1963 PRICES | INDEX OF PRICES | VALUES AT CURRENT PRICES |
| RESOURCES : | | | | | |
| Gross domestic production | 351,639 | 105.7 | 371,585 | 103.5 | 394,756 |
| Imports | 43,566 | 113.4 | 49,392 | 102.2 | 50,481 |
| Total resources | 395,205 | 106.5 | 420,977 | 103.4 | 435,237 |
| USES : | | | | | |
| Consumption | 265,532 | 104.2 | 276,731 | 103.5 | 286,542 |
| *of which :* households | 248,400 | 104.1 | 258,508 | 103.6 | 267,806 |
| general government | 15,344 | 106.2 | 16,301 | 102.7 | 16,737 |
| Gross fixed asset formation | 79,088 | 108.5 | 87,795 | 103.0 | 60,031 |
| *of which :* non-financial enterprises | 55,001 | 106.0 | 58,285 | 103.0 | 60,031 |
| households | 13,950 | 117.9 | 16,442 | 105.5 | 17,339 |
| general government | 9,760 | 109.4 | 10,682 | 102.9 | 10,989 |
| Changes in stocks | 4,308 | 204.2 | 8,797[1] | 101.6 | 8,937[2] |
| Exports | 41,338 | 107.5 | 44,458 | 102.8 | 45,704 |
| Balance of services entering into foreign trade | 4,939 | 105.2 | 5,196 | 101.8 | 5,288 |
| Total uses | 395,205 | 106.5 | 420,977 | 103.4 | 435,237 |

1. *Of which :* 1,587 of construction work.
2. *Of which :* 1,662 of construction work.

*Source :* Rapport sur les comptes de la Nation.

The reduction in demand pressures and the maintenance of the price freeze explain the noticeable slowdown in the upward movement of prices. Increases in wages and salaries were also smaller, though the slowdown here was less marked. This trend is due to the slow but persistent change in the labour market position and the lower level of economic activity.

Economic policy measures taken in 1964 reflect the maintenance of the stabilization policy initiated in 1963 (strict balancing of the budget, restrictions on credit). Cases of relaxation were very exceptional. The

policy of Treasury " disengagement " was continued, its role in the mobilisation of savings being much reduced. In the field of structural reforms (incomes policy, reform of channels of distribution and finance) not much progress was made in 1964.

Figures for the early months of 1965 show that the economy continued to stagnate. The index of industrial production for the first five months remained below the levels reached during the same period twelve months earlier. Private demand—both for investment and consumption—remained unchanged in most sectors. On the other hand the recovery in foreign trade seems to have been maintained, whilst prices remained steady and the slowdown in the growth of incomes continued. The relaxation of pressure on employment observed in 1964 has carried over into 1965, and is now giving cause for alarm in some industries (textiles) and some regions (the North and West).

Official French forecasts of trends in May 1965 show sharp downward revisions of the forecasts made in September 1964, and predict rather poor performances for the year as a whole (+ 2.5 per cent for the G.N.P., + 2.9 per cent for consumption by households, + 4.4 per cent for investment by enterprises). It now seems that in spite of the measures taken at the end of the first quarter of 1965, even these figures may not be achieved. For 1966 official forecasts anticipate that growth will be more rapid (+ 4 per cent for the G.N.P.), but still somewhat short of potential production capacity.

Trends over the last two years in France bring into the forefront the problem of combining growth policy for the medium term, expressed in terms of Development Plans, with policies for short-term equilibrium, as envisaged by the Stabilization Plan. The question is how far these two sets of policies have been effectively reconciled with each other over the past two years. It is clear that some of the major objectives of the IVth Plan (productive investment by enterprises especially) will not be fully realised, and that conditions for the start of the Vth Plan will not be propitious (poor growth prospects for productive investment in 1965 and 1966). These back-logs can of course be made good subsequently. The exigencies of short-term policy requirements must be expected to administer setbacks from time to time if growth is to take place under balanced conditions. The real questions are rather how the French authorities reckon to achieve a lasting reconciliation between economic growth and stability of costs and prices and foreign payments? How far do the results of the Stabilization Plan exceed the temporary breathing space afforded by bringing expansion to a halt, prolongation of which may well, apart from its other disadvantages, defeat the declared aim of stability? And, in view of the new situation brought about over the last two years and the amount of slack now present in the French economy, are not conditions now such as to enable expansion to be resumed with less risk of inflation than in the past?

## II. TRENDS IN 1964

*Supply*

Gross domestic production expanded slightly faster in 1964 than in 1963 (5.7 as against 5.5 per cent). But these almost identical average rates of increase conceal in fact widely divergent trends over the course of these two years. 1963 was a year of continuous growth which gathered momentum in the final months. In 1964 the expansion petered out from the second quarter onwards.

Agricultural production increased by 3.2 per cent (by volume) compared to 1963 (whereas it had declined by 1 per cent the previous year). This was due to a steep rise (about 10 per cent) in vegetable products as a result of fine weather. Animal products declined by about 3 per cent.

TABLE 2. **AGRICULTURAL PRODUCTION**

*Value indices.*

| | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 |
|---|---|---|---|---|---|---|
| 1. *Vegetable products:* | | | | | | |
| Soft wheat | 100 | 95.7 | 82.7 | 119.1 | 86.8 | 118.0 |
| Barley | 100 | 55,4 | 109.5 | 113.2 | 142.0 | 135.5 |
| Maize | 100 | 153.8 | 137.4 | 102.2 | 212.6 | 107.1 |
| Industrial beet | 100 | 245.1 | 170.6 | 150.0 | 180.0 | 188.0 |
| Wine | 100 | 105.0 | 80.1 | 126.1 | 96.2 | 103.9 |
| 2. *Animal products:* | | | | | | |
| Beef | 100 | 110 | 122.4 | 126.1 | 123.8 | 118.4 |
| Veal | 100 | 108.6 | 114.9 | 118.6 | 120.9 | 115.1 |
| Pigmeat | 100 | 96.7 | 97.3 | 107.2 | 101.3 | 100.3 |
| Mutton | 100 | 109.8 | 108.9 | 106.5 | 95.1 | 100.8 |

Industrial production[1] was well above that of the previous year: + 6.8 per cent as against + 5.4 per cent in 1963 and + 6 per cent in 1962. In the course of the year itself, however, there was practically no growth in industrial production.

Trends in the various sectors differ widely:

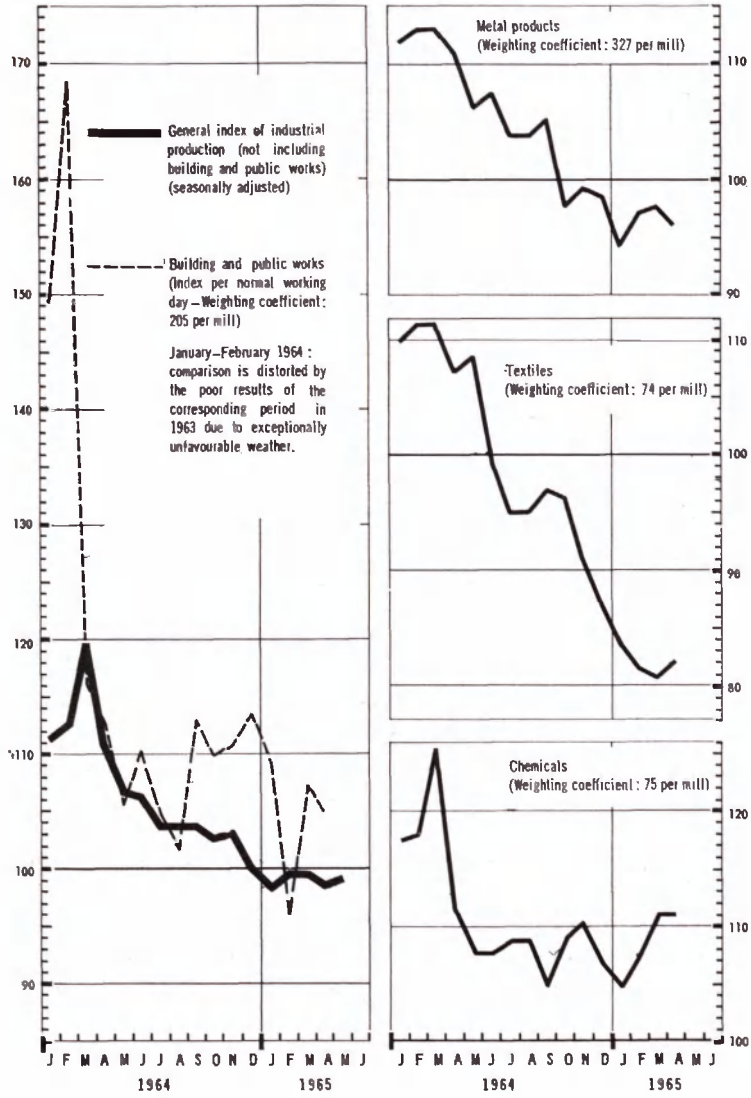
— no growth, indeed lower outputs in some cases, in industries producing consumer goods (a particularly sharp decline in automobiles: — 8 per cent, and textiles: — 7 per cent);

— rapid growth, tending increasingly to slacken in the course of

1. As defined in French National Accounts. The coverage does not coincide exactly with that of the industrial production index used by the INSEE.

*Diagram 1.* **TREND OF INDUSTRIAL PRODUCTION**

CORRESPONDING MONTH OF THE PREVIOUS YEAR = 100




*Source :* INSEE Bulletin mensuel de statistique.

TABLE 3. **INDUSTRIAL PRODUCTION BY INDUSTRIES**

PREVIOUS YEAR = 100

*Indices.*

| | | 1963 | 1964 |
|---|---|---|---|
| 01. | Agriculture and forestry products | 98.9 | 103.2 |
| 02. | Agricultural and food industries products | 102.7 | 102.1 |
| 03A. | Solid mineral fuels | 94.4 | 111.9 |
| 03B. | Gas delivered | 106.8 | 106.2 |
| 04. | Electricity, water, etc. | 109.6 | 107 6 |
| 05. | Natural gas and oil products | 111.0 | 110.9 |
| 06A. | Building materials and ceramics | 107.8 | 115.7 |
| 06B. | Glass | 105.7 | 109.9 |
| 07. | Iron-ore, iron and steel products | 100.4 | 110.4 |
| 08. | Non-ferrous ores and metals | 102.1 | 108.1 |
| 09A. | Forgings, castings and other metal working | 103.9 | 106.6 |
| 09B. | Machinery and engineering goods | 103.9 | 103.7 |
| 09C. | Electrical machinery and goods | 112.1 | 107.7 |
| 09D. | Motor vehicles, motorcycles and cycles | 113.4 | 99.0 |
| 09E. | Naval and aeronautical construction, and munitions | 107.8 | 105.8 |
| 10. | Chemicals and rubber | 108.0 | 110.3 |
| 11A. | Textiles | 109.3 | 104.1 |
| 11B. | Clothing | 109.9 | 101.1 |
| 11C. | Leather | 107.1 | 101.9 |
| 12A. | Wood products | 101.7 | 103.8 |
| 12B. | Pulp, paper and board | 106.5 | 105.7 |
| 12C. | Printing and publishing | 105.2 | 104.3 |
| 12D. | Miscellaneous industrial products | 109.0 | 107.0 |
| 13. | Building and public works | 106.8 | 111.6 |
| 14A. | Transport | 104.8 | 104.3 |
| 14B. | Telecommunications | 108.8 | 108.9 |
| 15. | Housing services | 103.8 | 103.7 |
| 16. | Other services | 107.1 | 105.7 |

*Source:* Rapport sur les Comptes de la Nation.

the year, in intermediate goods (preliminary processing of metals: + 9 per cent, non-ferrous products: + 8.5 per cent, etc.);

— no noteworthy recovery in equipment goods (no progress in machine-tools, fairly rapid growth in agricultural machinery, equipment for the building industry, precision engineering, etc., the overall advance in this group being 5 per cent);

— considerable advance in basic industries sector (iron and steel: + 12.5 per cent; chemicals: + 17.6 for mineral chemicals, and + 13.8 per cent for organic chemicals);

— unusually vigorous expansion in building and public works (+ 12 per cent for the group as a whole, and + 23 per cent for residential construction, the total number of dwellings being estimated at about 400,000).

The expansion of *commerce* and *services* was slightly less rapid than in the previous year, owing mainly to the failure of demand to expand. Overall, the increase in value added in transport, services and commerce was 5.7 per cent in 1964, as against 7 per cent in 1963, and 6.8 per cent on average from 1960 to 1963.

*Employment*

In 1963 the steep increase in the active population—repatriation from Algeria, the arrival on the labour market of school-leavers from the post-war " bulge ", reduction in the duration of military service—was absorbed without difficulty by enterprises, which had long been suffering from labour shortages. No easing of conditions was however noticeable on the labour market. In 1964, on the other hand, owing to the levelling off of activity from the second quarter onwards, trends began increasingly to move in the opposite direction.

The number of unsuccessful applications for jobs, which remained around 100,000 from January to April, had risen to 126,000 by January 1965. Ministry of Labour surveys indicate that the *real* level of unemployment is about double the number of applications. This would imply that real unemployment had risen from 200,000 to 250,000 in the course of 1964 (in the same period the number of unemployed *drawing benefits* rose from 27,179 to 32,771). These figures certainly do not indicate any serious deterioration in the employment situation. Nevertheless a number of indicators (the ratio of vacancies to unsuccessful applications, which fell from 0.3 to 0.1 between January and December; the reduction of 1.3 per cent in hours worked in manufacturing and of 1.4 per cent for all activities; the small increase in numbers employed of 1.2 per cent in manufacturing and 0.5 per cent for all activities, etc.) show that some easing of pressure is taking place. Returns for the early months of 1965 clearly confirm this.

The continued increase, although at a slower rate, in numbers employed at a time when the level of production was only rising slightly certainly implies that productivity was increasing more slowly. Thus in manufacturing, the increase in output per man-hour, using as a rough guide the ratio between the indices of industrial production and of total number of hours worked, which was of the order of 6.5 per cent during 1963, fell to a mere 1.9 per cent in 1964. Output per worker rose by 6.6 per cent in 1963. It declined by 0.5 per cent in 1964. These trends must have had serious effects on industrial costs.

*Demand*

The slower growth of *household consumption* (+ 4.1 per cent in 1964, as against + 6.8 per cent in 1963, or an increase of 2.8 per cent per head, as against 4.4 per cent in 1963) is due to several factors:

— the return to a more normal rate of growth of consumption after the exceptional trend of 1963 caused by expenditures on accommodating repatriates, and the effects (particularly noticeable in purchases of textile products) of a very severe winter;

— the wait-and-see attitude of households with regard to the probable effects of the Stabilization Plan (the slowdown in consumer demand set in during the last quarter of 1963);

— the reduction in the growth rate of incomes and purchasing power in real terms during the course of 1964;

— the changed pattern of household spending, an unusually high

TABLE 4. **HOUSEHOLD CONSUMPTION BY USES**

| USES | VOLUME INDICES : PREVIOUS YEAR = 100 | | | | | PERCENTAGE OF TOTAL | |
|---|---|---|---|---|---|---|---|
| | 1960 | 1961 | 1962 | 1963 | 1964 | 1959 | 1964 |
| 1. Major consumer durable items : | 112.4 | 118.9 | 116.8 | 116.5 | 105.1 | 6.3 | 7.4 |
| Cars | 118.5 | 118.4 | 126.5 | 120.4 | 102.4 | — | — |
| Television sets | 129.5 | 136.3 | 121.6 | 133.6 | 113.0 | — | — |
| Refrigerators | 119.4 | 113.6 | 111.7 | 111.2 | 110.0 | — | — |
| Washing machines | 100.0 | 105.0 | 128.0 | 129.5 | 110.0 | — | — |
| Other[1] | 107.8 | 110.0 | 110.6 | 110.4 | 104.3 | — | — |
| 2. Other consumer durables[2] | 106.2 | 106.3 | 108.0 | 109.7 | 103.6 | 17.2 | 17.3 |
| 3. Food | 103.8 | 103.1 | 104.1 | 103.1 | 102.5 | 37.7 | 33.3 |
| 4. Other consumption equivalents | 107.0 | 106.5 | 109.6 | 110.0 | 106.1 | 13.6 | 13.6 |
| Toilet articles, pharmaceuticals | 110.4 | 111.2 | 111.5 | 111.5 | 113.7 | 2.6 | 3.1 |
| Fuels, energy | 107.4 | 107.2 | 114.5 | 114.5 | 104.5 | 5.7 | 5.6 |
| Other[3] | 105.0 | 103.4 | 103.4 | 104.1 | 103.2 | 5.3 | 4.9 |
| 5. Services | 104.9 | 105.7 | 106.3 | 105.6 | 105.0 | 25.2 | 28.4 |
| Housing[4] | 104.6 | 106.0 | 106.0 | 104.2 | 104.0 | 5.5 | 6.8 |
| Public transport and communications | 103.0 | 104.2 | 105.0 | 103.3 | 103.9 | 2.6 | 2.3 |
| Health services[5] | 106.1 | 108.4 | 107.9 | 109.0 | 106.6 | 5.7 | 7.4 |
| Hotels, cafés, restaurants[6] | 105.3 | 104.3 | 105.1 | 104.9 | 103.6 | 6.7 | 6.9 |
| Other[7] | 104.2 | 104.7 | 105.8 | 95.6 | 106.8 | 4.7 | 5.0 |
| Total consumption | 105.5 | 105.5 | 107.0 | 106.8 | 104.1 | 100.0 | 100.0 |

1. Furniture, kitchen equipment, wireless, photographic equipment, sport and camping equipment.
2. Includes all clothing and furnishing articles, mechanical and electrical appliances, household articles, ironmongery, books, records, toys and games, leather articles, jewellery, watches and clocks.
3. Tobacco, flowers, magazines and newspapers, stationery.
4. Including minor maintenance and repairs.
5. Doctors, dentists, ancillaries, hospitalisation and convalescence, hostels and old peoples' homes.
6. Including canteens in places of work.
7. Legal, banking, financial, advertising services, laundry, dyeing, entertainment, repairs to automobiles, radios, watches, etc., cleaning, conservation and decoration.

*Source :* Rapport sur les Comptes de la Nation.

proportion of their incomes going into investment (residential construction).

The slower growth of consumer demand mainly affected purchases of durable goods (automobiles: + 2.4 per cent, as against + 17 per cent for the annual average between 1959 and 1963; television sets: + 13 per cent, as against + 23 per cent) and textile products (2.6 per cent as against 10.2 per cent in 1963).

*Investment by enterprises* increased in 1964 at almost the same rate as in 1963 (+ 6 per cent by volume, as compared with + 6.4 per cent). In 1964 as in 1963 the slow growth of investment by private enterprises (+ 4 per cent in 1964, + 4.1 per cent in 1963) contrasts with the more rapid growth of productive investment by public enterprises (+ 8.4 per cent in 1964, + 9.3 per cent in 1963). Moreover the increase in private enterprises' investment spending was concentrated almost entirely in a few industries (oil, building, and public works), whereas investment levelled off in manufacturing, and declined by nearly 20 per cent in iron and steel, and iron mining.

TABLE 5. **INVESTMENT EXPENDITURE BY PRIVATE INDUSTRY AT CURRENT PRICES**

*Value indices: previous year = 100.*

| | 1960 | 1961 | 1962 | 1963 | 1964 |
|---|---|---|---|---|---|
| Private industry (excluding oil, building and public works)[1] | 120.0 | 121.7 | 113.8 | 102.1 | 100.0 |
| *of which:* | | | | | |
| Iron and steel, iron ore mining | 126.2 | 146.6 | 107.2 | 76.9 | 79.0 |
| Chemicals, glass | 133.8 | 116.1 | 109.4 | 106.8 | 104.0 |
| Manufacturing | 117.7 | 116 5 | 117.7 | 108.4 | 101.0 |
| Oil, building and public works | 98.5 | 120.0 | 123.0 | 117.7 | 122.0 |
| Private industry | 116.0 | 121.4 | 115.3 | 104.8 | 103.4 |
| Agriculture, transport, services, commerce | 112.3 | 113.1 | 110.0 | 114.8 | 112.4 |
| Private enterprises | 114.5 | 118.2 | 113.3 | 108.4 | 106.8 |

1. This group of industries is approximately the same as that covered by the INSEE surveys of short-term trends.

*Source:* Rapport sur les Comptes de la Nation.

This lop-sided development explains the apparent contradiction between the favourable annual average results and the pessimism shown by entrepreneurs throughout 1964 (for example in their replies to the I.N.S.E.E. surveys) with regard to their investment plans. For important

sectors of production such as manufacturing, which are more and more exposed to competition from abroad, the 1964 situation gave cause for anxiety. The main reason for this was the reduction in profit margins at a time when production was stagnating, industrial prices frozen and costs rising. In addition, demand prospects were not bright. So long as these conditions continue (and they have certainly carried on into the early months of 1965) it is hard to see what factors would be likely to produce a reversal of the trends observed in 1964.

*External trade*

The surplus on external trade fell from F.2.7 billion in 1963 to 0.5 billion in 1964. Imports went up 15.9 per cent by value, while exports rose by only 10.6 per cent. But the external balance showed an improvement during the course of the year. This was due more to the levelling off of imports as a result of the slower growth of internal demand than to the increase in exports.

TABLE 6. **FRENCH EXTERNAL TRADE : QUARTERLY FIGURES**

CUSTOMS STATISTICS SEASONALLY ADJUSTED

*Billions of francs.*

| | 1963 | | 1964 | | | |
|---|---|---|---|---|---|---|
| | 3RD QUART. | 4TH QUART. | 1ST QUART. | 2ND QUART. | 3RD QUART. | 4TH QUART. |
| FOREIGN COUNTRIES : | | | | | | |
| Imports | 9.0 | 9.8 | 10.4 | 10.5 | 10.2 | 10.6 |
| Exports | 8.3 | 8.6 | 9.0 | 9.0 | 9.0 | 9.7 |
| REST OF FRANC AREA : | | | | | | |
| Imports | 1.9 | 2.0 | 2.0 | 2.1 | 2.1 | 1.9 |
| Exports | 2.0 | 1.8 | 2.0 | 1.9 | 1.9 | 2.0 |
| TOTAL : | | | | | | |
| Imports | 10.9 | 11.8 | 12.4 | 12.6 | 12.3 | 12.5 |
| Exports | 10.3 | 10.4 | 11.0 | 10.9 | 10.9 | 11.7 |

Trends in net external demand by *products* show the by no means negligible deflationary influence which external trade exerted on certain industries. Thus the net deficits in trade in agriculture and food, and above all in mechanical and electrical engineering, widened considerably in 1964.

TABLE 7. **NET EXTERNAL DEMAND**

CIVIL AND MILITARY MERCHANDISE

*Millions of francs at current prices.*

| | TRADE BALANCE | | | CHANGES | |
|---|---|---|---|---|---|
| | 1962 | 1963 | 1964 | 1963/1962 | 1964/1963 |
| Agricultural products | —1,974 | —1,089 | — 559 | + 885 | + 530 |
| Agricultural and food industries products | — 960 | —1,496 | —2,419 | — 536 | — 923 |
| Fuels | —1,425 | —2,166 | —2,070 | — 741 | + 96 |
| Oil products | —3,086 | —3,766 | —4,157 | — 680 | — 391 |
| Materials and glass | + 323 | + 315 | + 262 | — 8 | — 53 |
| Iron ore, iron and steel products | +1,664 | +1,075 | +1,411 | — 589 | + 336 |
| Non-ferrous ores and metals | —1,228 | —1,207 | —1,651 | + 21 | — 444 |
| Mechanical and electrical engineering products | +4,573 | +4,436 | +2,915 | — 147 | —1,521 |
| Chemicals | + 727 | + 411 | + 415 | — 136 | + 4 |
| Textiles, clothing, leather | +1,855 | +1,324 | +1,492 | — 531 | + 168 |
| Wood, paper | + 225 | — 324 | — 709 | — 549 | — 385 |
| Miscellaneous | + 250 | + 259 | + 293 | + 9 | + 34 |
| Total | + 644 | —2,228 | —4,777 | —2,872 | —2,545 |

*Source:* French submission to the OECD.

TABLE 8. **NET EXTERNAL DEMAND BY AREAS**

*Millions of francs.*

| TRADE BALANCE | EEC | EFTA | USA | OTHER COUNTRIES OUTSIDE THE FRANC AREA | TOTAL NON-FRANC AREA | TOTAL REST OF FRANC AREA | TOTAL |
|---|---|---|---|---|---|---|---|
| 1961 | +1,986 | +1,939 | —1,771 | —1,126 | +1,028 | +2,207 | +3,235 |
| 1962 | +1,600 | +1,819 | —1,780 | —1,031 | + 608 | + 36 | + 644 |
| 1963 | + 372 | +1,333 | —2,525 | —1,567 | —2,387 | + 159 | —2,228 |
| 1964 | — 917 | +1,824 | —3,823 | —1,609 | —4,525 | — 252 | —4,777 |

*Source:* Rapport sur les Comptes de la Nation.

Trends in net external demand *by areas* show a reversal of the trading position with the EEC countries (— F. 917 million as against + 372 million in 1963); a continued worsening of the position with the dollar area countries and the rest of the world (Eastern countries, developing countries, etc.); and an improvement in the surplus with the EFTA countries.

*The balance of payments*

According to provisional figures the main features of the external balance of payments for 1964 were as follows:

— the overall surplus was $520 million, which was of the same order as in 1963. But allowing for the advance repayments of external public debt ($280 million) made in 1963, which were not repeated in 1964, there was in fact a decline in the credit balance on normal transactions;

— goods and services recorded a net deficit of $15 million for 1964, as against a surplus of $384 million the previous year. This result confirms the less favourable trend in international trade already observed in 1963;

— *private long-term capital* movements in 1964 provided a substantial credit balance comparable with those of previous years.

The decline in net receipts under *transactions in private services with abroad*, already apparent in 1963, was confirmed in 1964. Receipts rose by 18 per cent and expenditure by 26 per cent. This trend is particularly evident in the *foreign travel* item, which recorded only a small credit balance in 1964. Tourist receipts went up by about 13 per cent, while expenditure increased by more than 30 per cent. The steady growth in the number of foreign workers in France continued to have an adverse effect on *earnings from employment*, which recorded an increased deficit.

With regard to *capital movements*, investment and disinvestment transactions abroad by French *residents* balanced out in 1964. In contrast, net receipts in 1964 from investment by *non-residents* in France exceeded the already high level of the last three years ($550 million). The order forbidding payments of interest on the Franc accounts of non-residents (except for those of central banks and international organisations) and the restrictions on borrowing in foreign currency by banks and private individuals severely reduced the scope of *short-term capital* movements. Nevertheless the short-term non-monetary capital movements item (transactions of the private non-banking sector) recorded a quite sizeable net deficit ($99.8 million in 1964) which corresponds in part to the net amount of gold purchases of private individuals made with a view to hoarding.

*Assets and liabilities* in francs and foreign exchange of *the monetary authorities and French banks* with abroad in 1964 registered a net gain of $776.1 million. In addition to the overall balance-of-payments surplus must be reckoned the $259.8 million of foreign exchange paid in against francs by the overseas countries of the Franc Area. For the year, as a whole, movements in assets and liabilities of the *banking sector* with abroad declined by $38.5 million. In contrast the holdings of the *Bank of France* and the *Treasury* increased by a net amount of $814 million. At 31st December, 1964, they stood at $5,564 million (of which $5,104.5 million

TABLE 9. **BALANCE OF PAYMENTS OF METROPOLITAN FRANCE WITH THE REST OF THE WORLD (EXCLUDING THE FRANC AREA)**

*$ million.*

| | 1963 | 1964 |
|---|---|---|
| GOODS AND SERVICES : | | |
| Merchandise | +176.9 | —113.1 |
| Transport | + 4.5 | + 24.6 |
| Insurance | — 10.9 | — 12.1 |
| Foreign travel | +120.9 | + 30.8 |
| Investment income | + 51.2 | + 56.9 |
| Earnings from employment | —204.5 | —231.3 |
| Income from intellectual property | — 50.4 | — 49.5 |
| Other services | +225.1 | +210.0 |
| Receipts and expenses of French Government | —197.8 | —197.4 |
| Receipts and expenses of foreign governments | +268.6 | +266.0 |
| Balance on goods and services | +383.6 | — 15.1 |
| FREE GRANTS | +127.2 | +101.9 |
| CAPITAL TRANSACTIONS : | | |
| Long-term loans and investment | | |
| — residents | + 58.9 | — 1.8 |
| — non-residents | +456.7 | +550.2 |
| Public investment and disinvestment | —428.9[1] | — 82.3 |
| Short-term non-monetary capital movements | — 71.9 | — 99.8 |
| Balance on capital transactions | + 14.8 | +366.3 |
| *Adjustments* | — 3.5 | + 63.2 |
| OVERALL BALANCE ON TRANSACTIONS BETWEEN METROPOLITAN FRANCE AND NON-FRANC AREA COUNTRIES | +522.1 | +516.3 |
| Transfer payments from rest of Franc Area | +131.9 | +259.8 |
| OVERALL BALANCE, equals change in foreign assets and liabilities of the French public sector and banking system | +654.0 | +776.1 |

1. *Of which :* $ 281.9 million in advance repayments and repurchase of annual instalments of foreign debt.

in gold and convertible currencies) i.e. an increase of 647.6 million compared with 31st December, 1963. The net position of France with the I.M.F. on the same date was $619 million. This improved in 1964 by the amount of drawings in francs made by various member countries of the I.M.F. to an equivalent value of $168.6 million, of which 100 million was put by France at the disposal of the I.M.F. under the agreement on complementary resources of the Fund.

*Prices and incomes*

The slower upward movement of prices and incomes is one of the major features of 1964. It is evidence of the success, in this respect, of

the Stabilization Plan. This began to show as early as the last quarter of 1963 when the advance in prices which had begun in mid-1962 was considerably slowed down. Natural or spontaneous factors also played no small part in this development.

TABLE 10. **PRODUCTION PRICE TRENDS BY PRODUCTS**

*Indices : previous year = 100.*

| | | 1963 | 1964 |
|---|---|---|---|
| 01. | Agriculture and forestry | 106.4 | 98.5 |
| 02. | Agriculture and food processing | 107.9 | 103.3 |
| 03. | Solid mineral fuels and gass | 101.1 | 100.4 |
| 04. | Electricity, water, etc. | 103.0 | 102.7 |
| 05. | Natural gas and petroleum products | 99.6 | 98.4 |
| 06. | Construction materials and glass | 104.5 | 101.6 |
| 07. | Iron and steel, iron ore | 97.8 | 101.0 |
| 08. | Non-ferrous ores and metals | 101.8 | 113.2 |
| 09. | Mechanical and electrical engineering | 102.9 | 102.2 |
| 10. | Chemicals and rubber | 99.9 | 99.9 |
| 11. | Textiles, clothing and leather | 104.2 | 102.3 |
| 12. | Wood, paper, etc. | 103.4 | 103.5 |
| 13. | Building and public works | 107.2 | 104.4 |
| 14. | Transport and communications | 102.7 | 102.3 |
| 15. | Housing | 110.5 | 105.3 |
| 16. | Other services | 106.7 | 107.4 |
| | Total production | 104.5 | 102.8 |

TABLE 11. **RETAIL PRICE TRENDS**

*Previous year = 100.*

| | 1961 | 1962 | 1963 | 1964 |
|---|---|---|---|---|
| Agriculture and agricultural industries | 102.7 | 105.3 | 105.4 | 102.7 |
| Energy | 99.7 | 99.2 | 100.1 | 99.9 |
| Mechanical and electrical engineering products | 99.7 | 100.7 | 100.4 | 100.5 |
| Chemical and rubber products | 102.2 | 100.5 | 102.5 | 98.8 |
| Textiles, clothing and leather | 102.6 | 102.6 | 103.7 | 103.0 |
| Wood, paper and miscellaneous industries, building | 102.7 | 104.1 | 104.0 | 103.5 |
| materials | 101.6 | 101.7 | 102.2 | 101.7 |
| Industrial products (total) | 104.3 | 103.1 | 103.7 | 102.5 |
| Transport and communications | | | | |
| Housing and other services, building and public works[1] | 105.2 | 106.5 | 108.7 | 107.6 |
| Services, building and public works | 105.1 | 106.1 | 108.2 | 107.2 |
| Total consumption | 102.9 | 104.1 | 104.5 | 103.6 |

1. " Building and public works " includes, for households, minor maintenance work by self-employed craftsmen.

*Source :* Based on Rapport sur les Comptes de la Nation.

*The slower upward movement of prices* affected both production prices (+ 2.8 per cent, of which + 1 per cent in the course of the year) and retail prices (+ 3.6 per cent, of which + 2 per cent in the course of the year).

In the case of production prices the considerably slower rate of increase in agricultural and food prices (+ 1.3 per cent in 1964, as against + 7.3 per cent in 1963) was mainly due to fine weather conditions. The slower advance of industrial prices (+ 2.2 per cent as against + 3.1 per cent in 1963) in spite of the rise in world raw material prices, is certainly due to the price freeze provisions included in the Stabilization Plan, which were relaxed only in exceptional cases in 1964. As for the increases in prices of transport and services (+ 5.8 per cent, as against + 6.1 per cent in 1963), the greater part of these occurred at the beginning of the year.

Since the introduction of the Stabilization Plan retail prices rose by only 0.2 per cent per month on average from October 1963 to December 1964, as against 0.4 per month from January 1961 to September 1963. Here again exceptionally fine weather conditions helped. In terms of annual averages the index rose by 3.6 per cent, as against 5 per cent in 1963 and 4.3 per cent in 1962. The trend shown by these averages actually implies an even slower increase (+ 2 per cent) in the course of the year. Prices were completely steady from October to December.

Analysis by groups of products shows that upward price movements have been comparatively small for food products and most manufactures, whereas for services the increases continue to be more marked.

TABLE 12. **TREND OF THE GENERAL INDEX OF HOURLY WAGE RATES**

*Percentage increase during the period.*

| | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 |
|---|---|---|---|---|---|---|---|---|
| From 1st January to 1st April | + 1.6 | + 3.9 | +1.9 | +1.5 | +1.8 | +2.0 | +1.8 | +1.9 |
| From 1st April to 1st July | + 2.7 | + 2.4 | +1.5 | +1.8 | +2.2 | +2.5 | +2.5 | +1.9 |
| From 1st July to 1st October | + 2.9 | + 0.8 | +0.8 | +1.8 | +1.6 | +2.2 | +1.8 | +1.2 |
| From 1st October to 1st January of following year | + 3.9 | + 0.9 | +2.3 | +1.9 | +2.2 | +2.5 | +1.5 | +1.5 |
| From 1st January to 1st January of following year | +11.3 | + 8.2 | +6.7 | +7.1 | +8.0 | +9.4 | +7.9 | +6.7 |
| Yearly average over average for previous year | + 6.1 | +11.9 | +6.3 | +6.7 | +7.6 | +8.6 | +9.0 | +7.4 |

*Source:* Ministère du Travail.

*The slower rate of increase in incomes* in 1964 was more evident in social security benefits than in earnings. The former rose by 12.3 per cent as against 18 per cent in 1963, the latter by 11 per cent as against 15 per cent. In the course of the year the increase in hourly wage rates was 6.7 per cent as against 7.9 per cent in 1963 and 9.4 per cent in 1962. There has moreover been a marked slowing down due to the easing of conditions on the labour market, and to the evident curbing of price inflation, which not only affected wage adjustment machinery the Salaire minimum inter-professionel garanti (Minimum occupational wage) was raised only once during the year, but also changed the general approach to wage demands.

TABLE 13. **EXPENDITURE AND REVENUE OF GENERAL GOVERNMENT**

*Billions of francs.*

| | GENERAL GOVERNMENT | *of which :* CENTRAL GOVERNMENT |
|---|---|---|
| 1. Current expenditure : | | |
| 1962 | 118.7 | 62.1 |
| 1963 | 134.0 | 68.6 |
| 1964 | 147.1 | 72.7 |
| Increase 1963/1962 | +12.9 % | +10.5 % |
| 1964/1963 | + 9.8 % | + 6.0 % |
| 2. Current revenue : | | |
| 1962 | 125.4 | 63.1 |
| 1963 | 143.3 | 71.9 |
| 1964 | 161.1 | 81.7 |
| Increase 1963/1962 | +14.3 % | +13.9 % |
| 1964/1963 | +12.7 % | +13.6 % |
| 3. Gross savings : | | |
| 1962 | 6.7 | 1.0 |
| 1963 | 9.3 | 3.3 |
| 1964 | 14.0 | 9.0 |
| 4. Gross fixed asset formation: | | |
| 1962 | 8.5 | 2.7 |
| 1963 | 9.8 | 3.2 |
| 1964 | 11.0 | 3.5 |
| Increase 1963/1962 | + 9.8 % | +12.1 % |
| 1964/1963 | + 9.4 % | + 9.0 % |
| 5. Lending capacity (+) or borrowing requirement (—) : | | |
| 1962 | — 2.4 | — 1.8 |
| 1963 | — 1.3 | — 0.1 |
| 1964 | + 1.9 | + 5.4 |

*Source :* Comptes de la Nation.

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ETUDES ECONOMIQUES DE L'OCDE – FRANCE

## ERRATA

Page 23, Tableau 16, 1964

Troisième ligne, troisième colonne

*au lieu de*

Etat ..... 27.826

*lire*

Etat ..... —

Sixième ligne, troisième colonne

*au lieu de*

Etranger ..... 4.639

*lire*

Etranger ..... —

*Public finance*

The Stabilization Plan strongly influenced the development of public finance in 1964. The Government's role in determining the equilibrium level of economic activity was unmistakably deflationary. It steeply reduced the rate of increase of its expenditure, whilst its revenue grew at the same rate as in the previous year. It also cut down the Budget deficit (" impasse ") considerably.

Current expenditure by general government in 1964 went up by only 9.8 per cent, as against 12.9 per cent in 1963 and 14.9 per cent in 1962, whilst revenue increased at the same rate as in previous years (+ 12.4 per cent as against + 14.3 per cent in 1963 and + 11.6 per cent in 1962). This slower growth in expenditure was mainly achieved by the central government restricting the increase in current expenditure to 6 per cent, a rate of growth considerably below that of the gross domestic product (+ 9.2 per cent by value). Capital expenditure increased at the same rate as in previous years.

Tax revenues in 1964 were much higher than foreseen in the Finance Act. The excess was F.6.3 billion. Fiscal pressure (the ratio of taxes to gross domestic production) rose steeply (26.7 per cent as against 25.9 per cent in 1963 and 25.3 per cent in 1961 and 1962). Taxes paid by households increased considerably (+ 22.3 per cent), whereas corporation tax revenues

TABLE 14. **TREND OF REVENUE FROM TAXATION**

| | | INDEX : PREVIOUS YEAR = 100 | | PERCENTAGE OF TOTAL REVENUE | | |
|---|---|---|---|---|---|---|
| | | 1963 | 1964 | 1962 | 1963 | 1964 |
| | DIRECT TAXES : | | | | | |
| 731. | Taxes on corporate profits | 106.0 | 107.9 | 8.9 | 8.3 | 7.9 |
| 732. | Personal income tax | 114.6 | 128.3 | 12.1 | 12.2 | 13.9 |
| 733. | Other direct taxes | 110.5 | 104.9 | 4.7 | 4.6 | 4.3 |
| 73 d. | Total direct taxes | 110.9 | 117.3 | 25.7 | 25.1 | 26.1 |
| | INDIRECT TAXES : | | | | | |
| 735. | Turnover taxes | 116.3 | 112.8 | 35.8 | 36.6 | 36.6 |
| 736. | Single and specific taxes | 108.8 | 110.4 | 15.8 | 15.2 | 14.0 |
| 737. | Payroll and apprenticeship taxes | 115.3 | 115.1 | 6.7 | 6.8 | 6.9 |
| 738. | Other indirect taxes | 115.8 | 107.3 | 16.0 | 16.3 | 15.5 |
| 73 i. | Total indirect taxes | 114.5 | 111.3 | 74.3 | 74.9 | 73.9 |
| 73. | ALL TAXES | 113.6 | 112.8 | 100.0 | 100.0 | 100.0 |
| | Index of gross domestic product | 110.7 | 109.4 | | | |

*Source :* Rapport sur les Comptes de la Nation.

showed only a small advance (+ 7.9 per cent). Total revenue from indirect taxes increased less than in the previous year (+ 11.3 per cent as against + 14.5 per cent).

To sum up, whereas in 1963 the overall result of general government operations of a final nature was a net " borrowing requirement " of 1.3 billion raised from other economic agents, in 1964 the final out-turn was a credit balance (or net " lending capacity ") of 1.9 billion. Treasury operations thus presented a very different picture from that of previous years. The smaller deficit on Finance Act provisions (the " impasse ") and the reduction in the cost of public debt amortization made the Treasury less dependent on the banks and private individuals.

TABLE 15. IMPLEMENTATION OF FINANCE ACTS AND TREASURY OPERATIONS IN 1963 AND 1964

*Billions of francs at current prices.*

| | 1963 | 1964 |
|---|---|---|
| *Implementation of Finance Acts and amortization of public debt :* | | |
| Implementation of Finance Acts (« Impasse ») | — 8.21 | —1.70 |
| Debt amortization | — 2.72 | —1.95 |
| Total | —10.93 | —3.65 |
| *Treasury operations :* | | |
| Capital market issues | + 3.00 | +1.50 |
| Public issues of treasury bonds | + 2.27 | +0.65 |
| Miscellaneous resources | + 5.61 | +4.72 |
| Calls on banks | + 0.05 | —3.22 |
| Total | +10.93 | +3.65 |

*Source :* French submission.

*Conditions for the achievement of financial equilibrium*

Financial conditions in the economy were very different in 1964 from what they had been in 1963. The evident slowdown in the rate of growth of household consumption spending was reflected in the increase in saving by private individuals. The 1963 total of F.35.8 billion showed hardly any advance on that for 1962 of 35.2 billion. In 1964 however it rose to 38.6 billion. But since households used a much greater proportion of these savings than in the past to finance their own investment (residential construction) their ability to provide capital for the rest of the economy was correspondingly reduced. Nevertheless, capital require-

TABLE 16. **BORROWING REQUIREMENT AND LENDING CAPACITY BY SECTOR AND SOURCE**

*Millions of francs.*

| | 1962 | 1963 | 1964 |
|---|---|---|---|
| *Borrowing requirement:* | | | |
| Non-financial enterprises | 19,300 | 22,577 | 27,826 |
| Central government | 1,827 | 61 | |
| Local governments and semi-public bodies | 2,944 | 3,585 | 4,639 |
| Abroad | 3,707 | 806 | |
| Total | 27,778 | 27,029 | 32,465 |
| *Lending capacity:* | | | |
| Households | 17,198 | 16,639 | 15,790 |
| Central government | — | — | 5,335 |
| Social Security and other departments | 2,368 | 2,373 | 1,226 |
| Abroad | — | — | 2,125 |
| Rest of Franc Area | 4,235 | 3,778 | 3,448 |
| Financial institutions | 3,977 | 4,329 | 4,541 |
| Total | 27,778 | 27,029 | 32,465 |

TABLE 17. **USES OF HOUSEHOLD INCOME**

*Billions of francs.*

| | 1962 | % | 1963 | % | 1964 | % |
|---|---|---|---|---|---|---|
| Gross income | 286.0 | 100 | 317.5 | 100 | 345.8 | 100 |
| Contributions, taxes and other pre-emptions | 28.7 | 10.0 | 33.1 | 10.4 | 39.3 | 11.4 |
| Disposable income | 257.3 | 90.0 | 284.2 | 89.6 | 306.5 | 88.6 |
| Consumption | 221.6 | 77.5 | 248.4 | 78.4 | 267.8 | 77.4 |
| Gross saving | 35.7 | 12.5 | 35.8 | 11.2 | 38.7 | 11.2 |
| Gross fixed asset formation by households | 12.0 | 4 | 13.9 | 4.4 | 17.3 | 5.0 |
| Financing of gross asset formation by individual entrepreneurs | 6.3 | 2 | 4.9 | 1.5 | 5.4 | 1.5 |
| Lending capacity of households | 17.4 | 6.5 | 17.0 | 5.3 | 16.0 | 4.7 |

*Source:* French submission to the OECD.

ments of enterprises increased rapidly as a result of the limitations put on the growth of their own resources (wage and salary increases, freezing of industrial prices, the levelling off of production) while their capital expenditure (investment and especially the financing of stocks) rose steeply. Overall, equilibrium was achieved by the increase in " lending capacity " from abroad (+ F.2,125 million, as against—F.806 million in 1963) and of the authorities (+ F.5,335 million, as against—F.61 million in 1963).

In practice, problems of adjustment were encountered. The budget surplus did not take the form of an increase in the financial resources of the Government, but of a reduction in its indebtedness to the banking system[1]. It is true that the reduction helped indirectly towards the provision of funds for the economy since it limited the activity of the Treasury as a collector of savings. Issues of bonds bearing graduated interest rates were temporarily discontinued in October 1964 and the total of Treasury bonds placed with the public diminished in absolute value in the course of the year, whereas it had increased considerably in previous years. On the other hand, the net capital contribution coming from abroad directly helped the economy's finances. Finally, the effect of the restrictions on credit was certainly tempered (as far as enterprises were concerned) by the weak demand for liquid funds by households.

The composition of new investment showed important changes compared with the previous year:

a) *Total funds invested* declined steeply in 1964 (— 15 per cent), whereas they had increased in 1963 (+ 6.6 per cent) and especially in 1962 (+ 18.6 per cent).

b) The rate of growth of the *money supply* slowed down perceptibly (+ 8 per cent as against + 14.6 per cent in 1963 and + 18.1 per cent in 1962) and, as a result, the share of liquid funds in investment sank to a very low level (36.1 per cent as against 47.9 per cent in 1963 and 55.6 per cent in 1962).

c) *Semi-liquid funds* increased moderately (+ 7 per cent) but in view of the smaller overall total of investment their relative share rose from 32 per cent in 1963 to 40 per cent in 1964. Within the semi-liquid funds item, savings banks deposits, stimulated by the raising of the ceiling (from F.10,000 to 15,000) decreed in January 1964, increased by 55 per cent compared with 1963. In contrast, other short-term securities increased at a much slower rate, owing mainly to the fall in Treasury bond issues.

d) *Securities* maintained the same level, in absolute value, as in the previous year, whilst increasing their relative share of total investment (24 per cent as against 20.4 per cent). This was the result of two very divergent trends. Investments in shares were up by 54 per cent on the level—admittedly unusually low—of 1963. (This increase did not however improve sentiment on the Stock Exchange.) Investment in bonds declined markedly, the reduction in public borrowing (1.5 billion in 1964 as against 3 billion in 1963) not having induced any increase in private bond issues[2].

1. Technically speaking, this reduction took the form of lower holdings by the banks of Treasury bonds, and smaller issues of one-year bonds.

2. Cf. the fears expressed on this subject in the 1964 OECD Survey of France (in particular, paragraph 84 et seq.).

TABLE 18. THE COMPOSITION OF INVESTMENT FINANCING
THE COMPARATIVE ROLES OF THE VARIOUS SOURCES OF FINANCE

| | PERCENTAGE OF TOTAL | | | |
|---|---|---|---|---|
| | 1961 | 1962 | 1963 | 1964 |
| Security issues by non-banks | 20.0 | 20.5 | 17.4 | 21.3 |
| *Banking system:* | | | | |
| Banque de France | 17.5 | 16.4 | 16.4 | 11.4 |
| Banks | 31.4 | 33.8 | 24.8 | 21.3 |
| Total | 48.9 | 50.2 | 41.2 | 32.7 |
| *Other financial institutions:* | | | | |
| Securities | 5.7 | 5.7 | 7.3 | 10.8 |
| Liquid and near-liquid funds | 19.3 | 25.0 | 27.4 | 39.4 |
| Total | 25.0 | 30.7 | 34.7 | 50.2 |
| *Treasury:* | | | | |
| Securities | —2.0 | —2.4 | 5.1 | —0.2 |
| Liquid and near-liquid funds | 20.8 | 14.2 | 14.0 | 5.5 |
| Total | 18.8 | 11.8 | 19.1 | 5.3 |
| Less : | | | | |
| Investment in liquid funds and claims by financial intermediaries | —12.7 | —13.2 | —12.4 | —9.5 |
| Net financing by economic agents | 100.0 | 100.0 | 100.0 | 100.0 |

*Source:* Rapport sur les Comptes de la Nation.

The counterpart of liquid or near-liquid investment (in particular foreign exchange holdings and bank credit) fluctuated within a much narrower range than in 1963:

*i*) Foreign exchange holdings were much smaller than in previous years (F.2.5 billion, as against 3.5 billion in 1963 and 3.1 billion in 1962) as a result of the worsening current account balance. This result is accounted for mainly by the reduction of foreign assets held by French residents (enterprises for the most part) and by the maintenance of a high level of foreign investment in France.

*ii*) The growth of bank credit compared with loans outstanding at the beginning of the year was only 10.8 per cent as against 12.8 per cent in 1963 and 18.5 per cent in 1962. This was due to restrictions on outstanding loans, the overall increase having been limited to 10 per cent more than the 1963 level, and, from the middle of the year onwards, to spontaneous restraint in demand for credit by enterprises as a consequence

of the levelling off of economic activity, and the changed attitude of entrepreneurs, who now adjusted their management policies to the requirements of official credit policies.

*Economic policy measures*

The principle feature of economic policy in 1964 was the maintenance of the main provisions of the Stabilization Plan, of which an analysis was made in the OECD. Survey of 1964[1]. Any changes in the Plan were of a minor nature. With regard to restrictions on credit, some concessions were made by the Bank of France for the financing of equipment and exports. The liquidity ratio of the banks[2] was temporarily lowered from 36 to 34 per cent. The freezing of industrial prices was removed for a small number of products (wood and furniture in particular).

The policy of strict budget orthodoxy was maintained, and Treasury " disengagement " carried further. The Treasury cut back its calls on the capital market by issuing only one and a half billion francs worth of loans. Limits were put on the increase in outstanding liabilities in Treasury bonds issued to the public, and issues of bonds bearing graduated interest were slowed down and then finally discontinued in October. Lastly, the portfolio of government securities held by the banks was considerably reduced by lowering the minimum level of holdings of Treasury bonds from 15 to 7.5 per cent.

In the field of wages and salaries, official policy decisions were in accordance with the spirit of the Stabilization Plan. The raising of the SMIG (and of the minimum agricultural wage) in October 1964 corresponded with the rise in the index based on 179 items since the previous SMIG increase in July 1963. Civil servants' salaries were increased in the same proportion as in the previous year: + 2 per cent as from 1st April, 1964, and + 2 per cent as from 1st October, 1964. Increases awarded to nationalised enterprises are the results both of normal annual wage increases and the backlog still to be made up, according to the conclusions of the Committee of Wise Men[3] which met in March 1963, so that pay awards in this sector become comparable with those granted by private enterprise. The increases awarded varied considerably according to the size of the backlog still to be made up (Charbonnages de France: + 11.95 per cent ; SNCF : + 7.36 per cent ; Électricité-Gaz de France : + 7.30 per cent). Finally, social security benefits were increased by 12 per cent in April 1964 and family allowances by 4 per cent as from 1st August of that year.

1. OECD Survey of France, August 1964, paragraphs 45 to 48.
2. The liquidity ratio is the minimum ratio the banks must maintain between certain items of their liquid or near-liquid assets and certain items of their sight or time liabilities.
3. For this Committee, cf. the OECD Survey of France, July 1963, paragraph 57.

With regard to structural reforms, not much progress was made in 1964. Incomes policy marked time, the various proposals submitted to the Conseil Economique by Government experts (in particular, by the Commissaire Général du Plan) having been rejected in November 1964 both by employers' representatives and trade union officials. Some limited reorganisation of agricultural markets and distribution channels occurred (rice marketing, wine marketing, poultry slaughtering, etc.).

## III. THE TREND IN 1965, FORECASTS FOR 1966 AND PROBLEMS OF SHORT- AND MEDIUM-TERM ECONOMIC POLICY

### *General short-term trends at the beginning of 1965 and forecasts for the year as a whole*

General short-term trends in the early months of 1965[1] do not differ substantially from those of 1964 examined above. Most of the trends recorded last year (the levelling off of domestic demand; the failure of production to expand; easier conditions on the labour market; the recovery in foreign trade; the steadiness of prices; the slower advance of wages and salaries, etc.) have been confirmed. The results of the latest INSEE surveys of industry, commerce, and households do not foreshadow any deterioration in general trends in the coming months, but equally give no clear indications of recovery.

The predominant feature of industrial production trends in the first quarter of 1965 is an absence of growth affecting most branches of industry, whereas in 1964 certain sectors took it in turns to maintain growth: e.g. the equipment industries, the basic industries, building. The index of industrial production (1959 = 100) stood at 136.5 in the first quarter, as against 137 for the fourth quarter of 1964 and 138 for the corresponding period of 1964. The equipment industries, including building, and those producing consumer goods were all affected. Signs of a recovery in the index for April (138) were not maintained in May (137.5). The index for the first five months of the year is 1.4 per cent below that for the corresponding period twelve months earlier. Replies to the INSEE surveys made since the beginning of the year indicate that stocks, after the steep increase in the last quarter of 1964, have tended to settle down. They have even fallen in one or two industries. By and large, however, they remain higher than normal. This would indicate some postponement of the date of an ultimate recovery.

1. The analysis which follows is based on information covering the first five, and in certain cases the first six months of 1965.

## TABLE 19. MAIN ECONOMIC INDICATORS FOR 1965

| | 1962 | 1963 | 1964 | 1964 | | | | | | | | | | | | 1965 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | ANNUAL AVERAGE | | | JAN. | FEB. | MARCH | APRIL | MAY | JUNE | JULY | AUG. | SEPT. | OCT. | NOV. | DEC. | JAN. | FEB. | MARCH | APRIL | MAY | JUNE |
| I. INDUSTRIAL PRODUCTION (Index : Base 1959 = 100) | | | | | | | | | | | | | | | | | | | | | |
| Including building and public works[1] | 121 | 127 | 138 | 136 | 140 | 141 | 146 | 145 | 145 | 131 | 88 | 140 | 146 | 147 | 142 | 136 | 139 | 143 | 148 | 148 | |
| Not including building and public works[1] | 122 | 128 | 137 | 140 | 142 | 141 | 144 | 143 | 144 | 126 | 83 | 136 | 143 | 144 | 144 | 139 | 142 | 142 | 144 | 144 | |
| Seasonally corrected (not including building) | | | | 137.0 | 136.5 | 136.0 | 138.0 | 137.0 | 138.0 | 129.5 | 129.5 | 138.5 | 138.0 | 137.0 | 135.5 | 135.5 | 137.5 | 136.0 | 138.0 | 137.5 | |
| Revised series | | | | 138.5 | 138.5 | 137.5 | 140.5 | 139.0 | 140.0 | 130.5 | 130.5 | 139.5 | 139.5 | 139.0 | 136.0 | | | | | | |
| II. EXTERNAL TRADE (millions of F.) | | | | | | | | | | | | | | | | | | | | | |
| a) *Imports (c.i.f.)* | | | | | | | | | | | | | | | | | | | | | |
| Non-Franc area countries | 2,450 | 2,961 | 3,470 | 3,594 | 3,500 | 3,610 | 3,773 | 3,384 | 3,682 | 3,366 | 2,582 | 3,273 | 3,576 | 3,491 | 3,803 | 3,486 | 3,369 | 3,906 | 3,710 | 3,610 | 3,550 |
| Franc area countries | 642 | 630 | 656 | 674 | 676 | 749 | 817 | 769 | 741 | 655 | 530 | 595 | 575 | 594 | 726 | 544 | 576 | 698 | 730 | 710 | 720 |
| Total | 3,092 | 3,591 | 4,143 | 4,250 | 4,176 | 4,359 | 4,590 | 4,153 | 4,453 | 4,021 | 3,112 | 3,868 | 4,151 | 4,085 | 4,529 | 4,030 | 3,945 | 4,604 | 4,440 | 4,320 | 4,270 |
| b) *Exports (f.o.b.)* | | | | | | | | | | | | | | | | | | | | | |
| Non-Franc area countries | 2,420 | 2,691 | 3,049 | 2,907 | 3,011 | 3,115 | 3,134 | 2,922 | 3,274 | 3,089 | 2,278 | 2,877 | 3,382 | 3,299 | 3,330 | 2,800 | 3,249 | 3,708 | 3,490 | 3,600 | 3,440 |
| Franc area countries | 608 | 635 | 652 | 702 | 699 | 681 | 673 | 561 | 661 | 637 | 455 | 568 | 737 | 680 | 760 | 597 | 612 | 716 | 660 | 630 | 630 |
| Total | 3,028 | 3,326 | 3,701 | 3,609 | 3,710 | 3,796 | 3,807 | 3,485 | 3,935 | 3,726 | 2,733 | 3,443 | 4,119 | 3,979 | 4,090 | 3,397 | 3,861 | 4,424 | 4,150 | 4,230 | 4,070 |
| c) *Coverage* *Imports (c.i.f.)/Exports (f.o.b.)* | | | | | | | | | | | | | | | | | | | | | |
| Non-Franc area countries | 101 | 91 | 88 | 81 | 86 | 86 | 83 | 86 | 89 | 92 | 88 | 88 | 95 | 95 | 88 | 80 | 96 | 95 | 94 | 100 | 97 |
| Franc area countries | 97 | 101 | 97 | 107 | 103 | 91 | 83 | 73 | 89 | 97 | 86 | 95 | 128 | 114 | 105 | 110 | 107 | 103 | 90 | 89 | 88 |
| Total | 100 | 93 | 89 | 85 | 89 | 87 | 83 | 83 | 89 | 93 | 88 | 89 | 99 | 97 | 90 | 84 | 98 | 96 | 94 | 98 | 95 |

| | 1962 | 1963 | 1964 | 1963 | | | | 1964 | | | | | | | | | | 1965 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | ANNUAL AVERAGE | | | JAN. | APRIL | JULY | OCT. | JAN. | APRIL | MAY | JUNE | JULY | AUG. | SEPT. | OCT. | NOV. | DEC | JAN. | FEB. | MARCH | APRIL | MAY | JUNE |
| III. PRICES | | | | | | | | | | | | | | | | | | | | | | | |
| Wholesale prices (1949 = 100) | 188.0 | 195.0 | 198.1 | 193.9 | 192.2 | 192.6 | 196.9 | 199.5 | 195.4 | 198.3 | 198.3 | 195.5 | 196.4 | 198.0 | 198.7 | 200.3 | 201.3 | 201.4 | 201.0 | 200.0 | 200.8 | 203.3 | |
| Retail prices | | | | | | | | | | | | | | | | | | | | | | | |
| 259 articles (1962 = 100) | 100 | 104.8 | 108.4 | 102.5 | 103.6 | 105.1 | 106.4 | 107.3 | 107.6 | 107.7 | 107.9 | 108.2 | 108.4 | 108.9 | 109.2 | 109.2 | 109.2 | 109.8 | 109.9 | 110.2 | 110.4 | 110.7 | |
| 179 articles (July 1957 = 100) | 131.15 | 136.38 | 138.79 | 133.24 | 134.6 | 137.36 | 138.49 | 137.88 | 137.61 | 137.83 | 138.51 | 139.20 | 139.51 | 139.66 | 13.990 | 14.013 | 140.33 | 140.87 | 140.67 | 140.82 | 141.11 | 142.12 | |

| | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| IV. EMPLOYMENT (as at 1st month) | | | | | | | | | | | | | | | | | | | | | | | |
| *Working week* (in hours) | | | | | | | | | | | | | | | | | | | | | | | |
| All activities ..... | 46.1 | 45.9 | 45.9 | 45.8 | — | 46.3 | 46.3 | 45.8 | 45.8 | | | 46.2 | | | 46.0 | | | 45.2 | | | 45.4 | | |
| Manufacturing ..... | 46.5 | 46.7 | 46.4 | 46.3 | 46.5 | 46.9 | 46.9 | 46.3 | 46.4 | | | 46.8 | | | 46.5 | | | 45.7 | | | 45.6 | | |
| *Index of numbers in employment* (1954 = 100) | | | | | | | | | | | | | | | | | | | | | | | |
| All activities ..... | 107.2 | 109.8 | 111.3 | 108.2 | 109.0 | 110.0 | 110.7 | 110.4 | 110.8 | | | 111.7 | | | 112.1 | | | 110.9 | | | 110.7 | | |
| Manufacturing ..... | 107.7 | 110.2 | 111.8 | 108.6 | 109.6 | 110.3 | 111.3 | 110.7 | 111.5 | | | 112.2 | | | 112.6 | | | 110.8 | | | 110.6 | | |
| *Index of total number of hours work ed* (1954 = 100) | | | | | | | | | | | | | | | | | | | | | | | |
| All activities ..... | 109.7 | 112.0 | 113.5 | 110.1 | — | 113.2 | 113.9 | 112.4 | 112.8 | | | 114.7 | | | 114.6 | | | 111.3 | | | 111.7 | | |
| Manufacturing ..... | 110.9 | 113.8 | 114.8 | 111.2 | 112.8 | 114.5 | 115.5 | 113.4 | 114.5 | | | 116.1 | | | 115.9 | | | 112.0 | | | 111.6 | | |
| *Unfilled vacancies* ..... (thousands) | 53.7 | 51.4 | 47.0 | 65.4 | 58.4 | 65.2 | 58.6 | 40.4 | 53.3 | 51.6 | 52.6 | 57.6 | 49.2 | 45.7 | 49.9 | 36.7 | 27.4 | 21.6 | 22.2 | 25.3 | 29.5 | 31.1 | 31.9 |
| *Outstanding applications for employment* ..... | 119.6 | 145.0 | 112.4 | 180.1 | 177.5 | 120.0 | 114.2 | 124.4 | 120.2 | 114.4 | 102.2 | 91.6 | 89.8 | 94.3 | 103.7 | 119.3 | 130.4 | 138.7 | 156.3 | 158.5 | 153.0 | 141.8 | 133.4 |
| Of which repatriates ... | | 47.9 | 17.3 | 73.8 | 64.1 | 38.8 | 29.7 | 23.3 | 19.2 | 17.6 | 15.8 | 14.1 | 13.5 | 13.8 | 13.7 | 13.5 | 13.5 | 12.8 | 12.6 | 12.0 | 11.4 | 10.7 | 10.2 |
| V. WAGES | | | | | | | | | | | | | | | | | | | | | | | |
| Hourly wage rate ..... (January 1956 = 100) | 165.9 | 180.8 | 194.1 | 173.7 | 176.9 | 181.3 | 184.6 | 187.4 | 191.0 | | | 194.6 | | | 197.0 | | | 199.9 | | | 202.5 | | |

1. Indices of industrial production per normal working day (adjusted for the unequal number of working days).

The easier conditions on the labour market have continued. In the first quarter the ratio of vacancies to unsuccessful applications was one to four. Twelve months ago it was one to two. Unsuccessful applications reached 141,820 as at 1st May, which implies a real unemployment figure of about 300,000 persons. The average working week in manufacturing, which had fallen in the course of 1964 from 47 to 46.4 hours, was down to 46.2 in April, and although there are variations from industry to industry, the general trend is still downwards. The index of employment stood at 110.8 as at 1st April, as against 111.4 on 1st January and 111.7 on 1st April, 1964.

The recovery in the external trade position (especially outside the Franc Area) continued in the early months of 1965. Seasonally adjusted, the deficit (c.i.f. - f.o.b.) with non-Franc countries declined for the fourth consecutive quarter and, on a transactions basis, the trade balance for the first six months of 1965 shows a surplus. Imports fell sharply during this period, while exports continued to make progress. In June they were 9 per cent up on the level for the last quarter of 1964, and 5 per cent up on the level for the corresponding month last year. The ratio of exports to imports (with non-Franc countries) rose from 89 per cent in June 1964 to 97 per cent in June 1965. This, in view of the method of accounting, indicates a considerable surplus. Capital inflows in the early months of 1965 remained substantial. From end-December to end-June official reserves of gold and foreign exchange rose by $268.9 million after the conversion into dollars (the actual amount was $140 million) of part of the francs put at the disposal of the IMF. On 1st July an advance repayment of debt to the United States and Canada totalling $179 million was made. Ignoring these exceptional transactions, the overall surplus on foreign payments in the first quarter of 1965 was of the order of $380 million.

The cost of living rose 2.4 per cent in the first quarter compared with the same period of 1964 (twelve months ago the increase over the corresponding period of 1963 was 4.3 per cent). The present trend is likely to continue in the months to come. Some increases (rents, public services tariffs, health charges) will no doubt take place at the beginning of the second half-year[1], but these should be offset by the slower rate of increase of prices to consumers of food products and services, and by price reductions for the majority of consumer durables.

Wage rates continue to advance more slowly: + 1.3 per cent in the first quarter of 1965, as against 1.5 per cent in the last quarter of 1964 and 1.9 per cent for the corresponding period a year ago. For the year as a whole the growth rate in households' total nominal earnings from employment is expected to be halved (about 6 per cent as against 11 per

1. An increase of 5.1 per cent in SNCF tariffs for goods traffic was announced on 1st June.

cent in 1964) as a result of the slower increase in hourly wage rates and the continuation of the trend towards a reduction in the length of the working week. Bearing in mind the difficulties of interpreting over a short period this kind of calculation, it can be said that in the first quarter, as a result of the combined effects of the slower increase in wages and numbers employed, and the continued upward movement of prices, the rise in the purchasing power of wage and salary earners was only 0.4 per cent, as against 0.7 per cent in the fourth quarter of 1964, and 1.4 per cent a year ago.

TABLE 20. **FORECASTS FOR 1965**

*Percentage increase in volume.*

| | MAY 1965 | OCTOBER 1964 |
|---|---|---|
| I. TOTAL ECONOMIC RESOURCES : | | |
| Gross domestic product | + 2.5 | + 4.3 |
| Imports | + 5.8 | + 9.5 |
| *of which :* | | |
| — foreign countries | — | +10.8 |
| — rest of Franc Area | — | + 2.8 |
| Total resources | + 2.9 | + 4.9 |
| II. USES : | | |
| Consumption | + 2.9 | + 4.3 |
| *of which :* | | |
| — households | + 2.6 | + 4.2 |
| — general government | + 6.8 | + 5.0 |
| — financial institutions | + 5.0 | + 5.8 |
| Gross investment (gross fixed asset formation) | + 7.9 | + 5.3 |
| *of which :* | | |
| — enterprises | + 4.4 | + 4.7 |
| — households | +18.3 | + 5.0 |
| — general government | +11.2 | + 8.8 |
| — financial institutions | + 2.6 | + 6.2 |
| Formation of stocks[1] | 2,365 | 6,485 |
| Exports | + 7.9 | + 8.8 |
| *of which :* | | |
| — foreign countries | — | +10.7 |
| — rest of Franc Area | — | + 2.7 |
| Net utilisation of services | + 4.0 | + 4.0 |
| *of which :* | | |
| — foreign countries | — | + 4.5 |
| — rest of Franc Area | — | + 3.1 |
| Total uses | + 2.9 | + 4.9 |

1. In millions of francs at current prices.

*Source :* " Le Monde ".

These trends have induced French experts to make considerable downward revisions of the forecasts for 1965 which they made in October 1964 when the Finance Bill was laid before Parliament.

The most significant revisions relate to gross domestic production (+ 2.5 per cent as against + 4.3 per cent) and household consumption (+ 2.6 per cent—which means a per capita increase of about + 1.2 per cent—as against + 4.2 per cent). On the other hand, the revised figure for investment by enterprises does not show much change (+ 4.4 per cent instead of + 4.7 per cent, of which + 2.5 per cent by private enterprises), whilst the increase recorded in 1964 for investment by households (+ 18.3 per cent as against the + 5 per cent originally forecast)[1] is expected to continue. Finally, it should be noted that the upward revision of expenditure by general government on consumption (+ 6.8 per cent instead of + 5 per cent) and investment (+ 11.2 per cent instead of + 8.8 per cent), is perhaps a foretaste of some change in budget policy in the course of 1965. For 1966 the forecasts submitted to the Commission des Comptes de la Nation indicate a moderate expansion (+ 4 per cent) of domestic production. Growth rates are likely to continue to be slow for household consumption (+ 3.5 per cent) and productive investment (again + 3.5 per cent), whereas imports and exports should achieve balanced growth (+ 7.8 per cent and + 7.1 per cent respectively).

In the view of the French authorities the recovery at the end of 1965 should occur as the result of spontaneous trends, accompanied and reinforced by short-term policy measures.

*a*) The spontaneous trends tending to stimulate general economic activity should emanate from net external demand, which has recovered appreciably since the beginning of the year, and from private consumption demand. The French experts think it hardly possible that the present excessively cautious behaviour of consumers can continue indefinitely, especially if households become aware of an improvement in the overall economic situation. The propensity to consume, which was exceptionally low in 1964 and early 1965, should therefore recover to a more normal level between now and the end of the year.

*b*) The necessary accompaniment to these trends will be provided by the changes in stabilization policy that took place some weeks ago, in particular the easing of controls on consumer credit, which are now back where they were prior to September 1963, the discontinuance since 1st July of the credit squeeze, and the announcement of a public loan of a billion francs to be raised in the autumn to finance investment by private and public enterprises.

1. Almost entirely accounted for by residential construction.

There is still some doubt, however, as to whether the official forecasts for 1965 and 1966 can in fact be achieved.

a) *With regard to the likelihood and scope of the recovery in the final months of 1965*, the official assumption (+ 2.5 per cent for GNP) implies a growth of industrial production of 1.8 per cent which, in view of the results for the first months of the year, would imply a rapid advance (about 6 per cent) in the second half-year. But it seems unlikely that the measures taken by the Government so far (and primarily intended to facilitate the financing of investment) could induce such a change in general trends. Entrepreneurs' plans appear at the moment to be held back less by a shortage of funds than by uncertain demand prospects. It is true that official forecasts reckon on a spontaneous revival of consumer demand between now and the end of the year, and this should cause a revival in investment. But here again the assumption would seem to be optimistic, bearing in mind the marked decline in the growth of purchasing power deriving from total earnings from employment since the beginning of the year. The latest INSEE surveys of consumer intentions confirm that prospects for sales of consumer durables are poor (except for automobiles which, it is hoped, will improve when the new models are launched in the autumn). Similarly, official forecasts of expenditure on residential construction seem too high. There are certainly enough projects on order or being considered to maintain a high level of activity in the construction industry, but it seems doubtful whether the advance can be maintained for the year as a whole at the very high rate already reached in 1964 (+ 18 per cent). And even if this were the case, an annual growth of 18 per cent would in fact imply a noticeable slowdown between now and the end of the year, owing to the level of demand at the beginning of 1965 compared with the average for 1964. It is unlikely that demand in this sector could lead to a revival of economic activity during the fourth quarter of the year as it did in 1964. Furthermore, a slump in sales of finished houses is already beginning to emerge. As for private productive investment, the INSEE surveys of investment projects (March) indicate a decline of 5 per cent for 1965 compared with 1964. The industries included in these surveys cover about half of private productive investment. For the other industries (building, public works, transport, distribution, oil), the implicit assumption underlying official forecasts is a growth rate of the order of 8 per cent, which seems somewhat optimistic. Since in the majority of these industries margins of idle capacity have constantly increased over the last fifteen months, it is likely to be some time before an expansion of demand can affect

investment. Another negative factor may well be the cessation of growth in stocks, which accounted for more than 2 per cent of final demand in 1964, and which will probably be negligible in 1965. However, insofar as the attempts by enterprises to adjust their production to current sales have been successful in the first six months of the year, the disappearance of this factor during the second half-year may well have a stimulating effect.

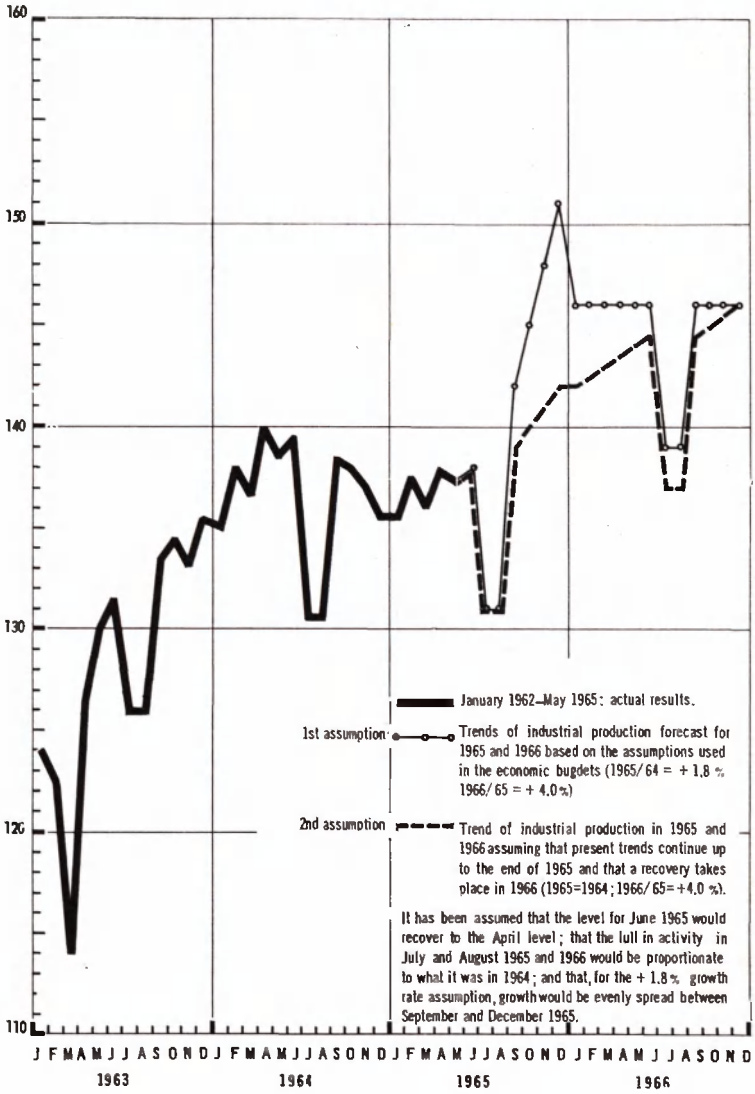
b) *With regard to the consistency of the forecasts for 1965 and 1966*, if a 2.5 per cent expansion were finally achieved in 1965, it would be concentrated in the latter months of the year, implying quite a steep increase in the growth rate. What would remain to be achieved in 1966, to arrive at a figure for the whole year of 4 per cent, would be an advance of about 1.5 per cent in the course of the year, which implies a significant fall in the growth rate. This would give a rather improbable picture of a substantial recovery of short duration during the winter of 1965-1966, followed by a further recession. If, on the other hand, a sizeable recovery did not take place in late 1965, the achievement of a growth rate of 4 per cent would involve a steeply rising growth rate in the course of the year. Unless there is a substantial change in economic policy, it is difficult to see at present what factors would bring this about.

The most certain element of recovery between now and the end of 1965 appears to be the trend of net external demand. Official forecasts estimate an increase of 5.8 per cent for imports and 7.9 per cent for exports. But the provisional results for the first five months[1] reveal an overall decline of 0.9 per cent in imports (with an increase of 1.2 per cent for non-Franc area countries) and an increase of 9 per cent for exports (of which 11.7 per cent for non-Franc area countries) compared with the corresponding period in 1964. Overall, it is probable that the net surplus in 1965 will amount in national accounting terms to at least 1 per cent of the G.N.P. The balance of payments will certainly show a substantial improvement, with the trade balance registering a surplus of $150 to $200 million (as against a deficit of $300 million in 1964). Allowing for a worsening in the balance on services and transfers and a decline in the long-term capital inflow, the basic balance might show a surplus of $500 to $600 million (as against $460 million in 1964). Despite the recent growth trend of foreign exchange earnings of the rest of the Franc Area (which are running at present at an annual rate of $300 to $350 million), the increase in reserves might well remain moderate owing to the advance repayment transactions made by the French Government (cf. above).

1. Customs returns.

*Diagram 2.* **INDUSTRIAL PRODUCTION**

FORECASTS FOR 1965 AND 1966
1959 = 100




*Source :* January 1963 to April 1965 : INSEE.

*Economic policy problems in 1965 and 1966:*

*Short-term policies*

In 1965 the stabilization policy continued during the first half of the year (maintenance of credit squeeze, freezing of industrial prices, balanced budgeting in public finance). This policy has, however, undergone certain changes which have recently been reinforced. The main changes are as follows:

*a*) The reduction in the discount rate from 4 to 3.5 per cent on 8th April, 1965.

*b*) Budget policy: it is unlikely that policy with regard to general government expenditure in 1965 will have the same deflationary effect it had in 1964. Expenditure on equipment by general government should increase by about 13 per cent, expenditure on consumption by 9 per cent. Overall, the lending capacity of the Government in 1964 may well be reduced (1.2 billion instead of 1.9 billion).

*c*) As already mentioned, the Government decided at the end of the first half-year to introduce greater flexibility into some aspects of policy.

*i*) On 24th June the Conseil National du Crédit decided to suspend the scheme for restricting the increase in outstanding loans which was introduced on 27th February, 1963, and further reinforced by the Stabilization Plan. At the same time, however, banks were asked to exercise moderation in granting credit.

*ii*) The Minister of Finance announced that the Treasury would lend public and private enterprises a further billion francs, reserving the right to cover this by a loan on the open marketin October.

*Structural reform*

Structural reforms started in 1965 include far-reaching improvements in channels of financing, changes in the system of indirect taxation (value-added tax) and the re-organisation of meat marketing. These reforms should ensure smoother running of the economy in the future.

a) *Channels of financing*

*i*) Construction should be easier to finance after the decisions taken in March to increase the amount of loans made by the Crédit Foncier, and to extend the repayment period (from 20 to 30 years).

*ii*) The reform of company taxation has continued with the introduction of tax concessions on income from securities: the abolition of the 6 per cent complementary tax included in the 24 per cent withholding tax, and, as from 1966, the full refund of the withholding tax by means of a tax credit (the sums paid being deducted from the total tax payable by companies).

*iii*) A Government Bill intended to provide substantial tax relief on dividends, and so encourage private saving. The Bill proposes to do away with some of the double taxation on distributed profits which are at present subject both to corporation taxes and personal income tax. Shareholders of French companies receiving dividends will be credited by the Treasury with an amount equal to half the dividend paid out. This provision will have the effect of reducing the rate of corporation tax on distributed profits to 25 per cent (instead of 50 per cent as at present).

b) *Re-organisation of the value-added tax*

The Government put before Parliament[1] a tax reform bill intended to abolish most of the special taxes and make the value-added tax general in application. The extension of this tax to commerce should do away with certain anomalies which penalise the most modern forms of distribution. It should however be noted that in the case of independent craftsmen and retailers the bill provides exemptions or partial relief.

c) *Meat marketing*

In June 1965 a bill for the modernisation of meat marketing was put before Parliament. The short-term objectives of the proposed reform are to standardize public health regulations and re-organise the management of slaughter-houses, while the longer-term aim is to re-organise the trade as a whole.

### *The Stabilization Plan and economic policy in the medium term*

Some of the factors contributing to the inflationary pressures which the Stabilization Plan was intended to remedy were of a temporary nature. In 1963 non-recurring factors influenced prices (the particularly long and severe winter) and demand in general (the arrival in France of almost

1. After the inclusion of various amendments the bill was adopted by the National Assembly on 27th June.

one million repatriates who had money to spend and thus had an immediate effect on consumption, but could not at once be assimilated as producers). The poor performance of the economy in 1964, which the measures taken helped to accentuate but certainly did not by themselves provoke, showed that the boom of 1963 was a transitory one. Moreover, in interpreting the rapid increase of imports in the course of the year, the part played by structural adjustments (the liberalisation of imports, the lowering of customs duties) seems to have been under-estimated.

But there is no doubt that behind the special factors which influenced the economic climate in 1963 there lay the more fundamental problem that wages and salaries were increasing considerably faster than productivity. This put pressure on prices both from the cost and the demand side. This phenomenon was in part due to the attempt made by wage and salary earners to make up for the slower rate of increase in their incomes induced by the stabilization measures taken in 1958 and 1959. But the hard core of the problem, characteristic of modern industrial economies under conditions of full employment, was the tendency for wages and cost pressures to develop. An aspect more peculiar to the French economy was the fact that these pressures on prices were magnified by the rigidities and structural defects so often analysed before[1].

At the time the Stabilization Plan was introduced, of course, it was quite impossible to distinguish the relative importance of these various factors. In the situation then prevailing there seemed a real danger that a general process of inflation could develop. Restrictions on the growth of demand (by getting rid of the Treasury decouvert and squeezing credit), and the freezing of industrial prices made possible the elimination of this danger, and the upward movement of wages and prices was substantially retarded (although the real significance of this in the case of prices is difficult to assess insofar as it is due to the industrial price freeze). That these results have been achieved at the expense of a temporary halting of growth is not in itself decisive. The real question is how long they will last, and to what extent the Stabilization Plan, in addition to performing a pruning operation, has attacked the hard core of the problem.

It is clear that neither the price freeze nor the holding down of demand can be regarded as a permanent means of managing a modern economy. A price freeze, acceptable as a transitory means of checking runaway inflation and of bringing pressure to bear on employers confronted with wage demands, leads in the long run to serious distortions and anomalies. Restrictions on demand are justified if the aim is to adjust the rate of growth of demand to that of the capacity to produce, or to enable the economy to function under conditions of less strain with a margin of spare capacity.

In this respect the Stabilization Plan has produced results which,

1. Cf. The OECD Surveys of France in 1963 and 1964.

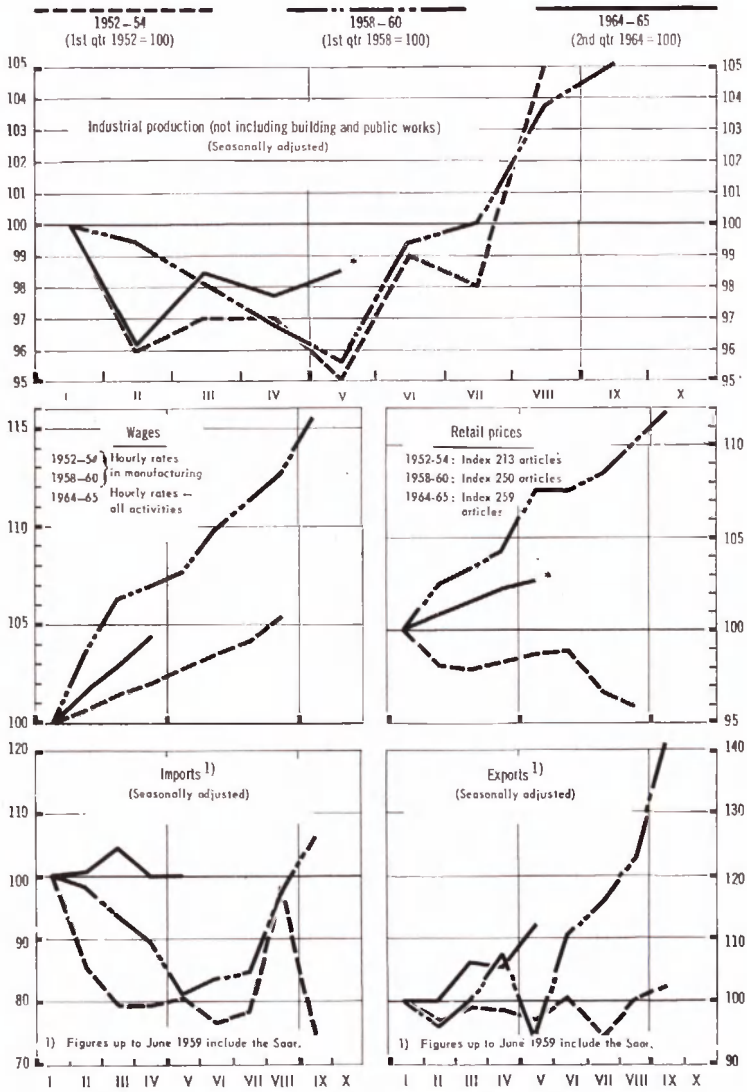
properly exploited, could be of lasting significance. The French economy, which was working almost to the limit of capacity towards the end of 1963, must now have considerable margins to spare. While the level of production has hardly changed, the rate of expansion of physical capacity has remained throughout 1964 and 1965 of the same order of magnitude as for the previous years (i.e. about five per cent per year). To this must be added substantially larger reserves of manpower, the result not only of present underemployment in a number of industries, but also of the much faster natural growth rate of the labour force. This should reach 0.9 per cent per year in the course of the next five years (instead of 0.1 per cent per year during the fifties). This means that an expansionist policy will be much less exposed to the danger of inflation than in the past. The aim of such a policy must be to ensure a growth in demand and production which keeps broadly in step with that of productive potential (i.e. 5 to 6 per cent per year), but avoids running the economy at the limit of full employment, as in the past.

To the extent that it has established these margins the Stabilization Plan has already done its job, and has helped, insofar as this can be done by the manipulation of demand, to pose the problem of costs and prices in terms which may make it easier to tackle more effectively in the future. But it is difficult to go much further in this direction. It may be argued that the maintenance of the present position entails the risk of overshooting the target and producing effects contrary to those originally desired. If the economy were to settle into a phase of too sluggish growth, the unfavourable effects on labour cost trends could be serious. It is hard to believe, in fact, that any further reductions in the present rate of wage increases[1] can be achieved. For more than a year now these increases have been entirely passed on in increased costs, since productivity has ceased to advance. Similarly, a prolongation of the profits squeeze may well have serious effects on investment and, in consequence, on productivity improvement.

In the period now beginning, therefore, economic policy should be directed towards ensuring that expansion is resumed at a satisfactory rate. It does not look as if the recent modifications in official policies will suffice to bring this about. As indicated above, the measures taken in June and July are intended in the main to make it easier to finance investment. But investment under present conditions seems to be limited not so much by difficulties of finance as by the lack of growth in demand and uncertainty as to its future trend. Since the second quarter of 1964 the demand for credit has usually fallen short of the limits set by official restrictions, and in view of the present margins of unused human and material resources,

1. During the post-war recessions only the years 1952-1953 showed a slower rate of increase in wages. Admittedly this coincided with an absolute decline in the cost of living index. Cf. Diagram 3.

*Diagram 3.* **THREE RECESSIONAL PHASES COMPARED**




* April-May.
Quaterly from the beginning of each recessional phase.
*Source :* OECD.

there is no doubt that a recovery in final demand would mean the immediate re-emergence of substantial profit margins, which would provide enterprises with both the incentive and the means to invest. If, therefore, no clear signs of recovery have emerged early in Autumn, it would seem desirable for the authorities to step in promptly with measures to stimulate activits.

Besides the adjustment of demand to the potential growth of production, there are other structural modifications and reforms which need to be undertaken. It is unlikely that the maintenance of the present standstill will achieve any real structural re-organisation of the French economy, such as, for example, eliminating marginal firms or industries; increasing the mobility of factors of production, and especially manpower; achieving a lasting equilibrium in the balance of payments; stimulating a higher rate of private saving and putting this to better use. It can well be argued, on the contrary, that stagnation, or a low growth rate, tends to encourage the maintenance of the *status quo*, slower progress in productivity, the ossification of production and distribution structures. There are also grounds for fearing that, as the inter-war period in France proved, a failure to expand may well arouse conservative reflexes (a refusal of employers to adopt new methods of production, trade union antagonism to immigration), and increase the urgency of claims put forward by certain groups (farmers or wage and salary earners) whilst making it more difficult to satisfy them. Adaptation and adjustment (between industries, regions, income groups) take place much more easily in a vigorously expanding economy.

With regard to structural reforms depending on official action it is only fair to point out the positive aspects of measures of re-organisation introduced in 1965 after the failure to do much in this field in 1964. Particularly noteworthy is the extension of the value-added tax system, although it is still difficult to assess the exact incidence of this measure, and although there are grounds for fearing that the exemptions provided for small enterprises may deprive it of its full effect in bringing distribution channels up to date. But in most fields the tardy pace of the reforms can only be described as disappointing. Incomes policy remains embryonic and arouses more mistrust than support among organised sections of the community. The training of the labour force is still carried on essentially at the level of the firm. The re-organisation of distribution has not gone very far, whilst the reform of finance—in spite of real progress recently in arrangements calculated to ensure the better utilisation of savings—has taken the form more of Treasury disengagement than a channelling of private saving into more productive uses.

Finally, the relationship between the policy of stabilization and that of growth must also be considered from the point of view of the effects a prolonged phase of stagnation could have on the achievement of the objectives of the Development Plans. If the delays imposed by the policy

of stabilization remain limited so far as the IVth Plan is concerned, this is due to the lead established at the start of the implementation of the Plan. But there would be cause for alarm if, in the opening year of the Vth Plan, economic performance were to remain well short of planned objectives. This is especially true of productive investment, on which the subsequent implementation of the Plan hinges, and which has been flagging badly for three years now.

TABLE 21. **GROWTH TARGETS OF THE IVth PLAN AND CURRENT LIKELIHOOD OF ACHIEVEMENT**

| | IVth PLAN 1962-1965 (USING 1961 AS BASE) | GROWTH RATE NECESSARY IN 1965 TO ACHIEVE TARGET | GROWTH RATE CURRENTLY FORECAST FOR 1965 |
|---|---|---|---|
| Gross domestic product | 5.5 | 4.0 | 2.5 |
| Imports | 5.3 | —17.9 | 5.8 |
| Total resources and uses | 5.5 | 1.1 | 2.9 |
| Consumption : | | | |
| Households | 5.2 | 3.0 | 2.6 |
| General government | 5.1 | — 4.1 | 6.8 |
| Investment | 6.8 | 4.0 | 7.9 |
| *of which :* | | | |
| Production | 6.4 | 7.4 | 4.4 |
| Housing | 5.7 | — 7.3 | 18.3 |
| General government | 10.7 | 10.8 | 11.2 |
| Exports | 4.7 | 0.7 | 7.9 |

*Source :* Rapport sur les Comptes de la Nation.

## IV. CONCLUSIONS

The stabilization policy pursued in France since Autumn 1963 has effectively slowed down the upward movement of prices, kept wage increases within bounds, and brought easier conditions to the labour market. At the same time, however, the levelling off of demand—due partly to a spontaneous reversal of general short-term economic trends and partly to the policy of stabilization—has led to a failure of production to expand since the middle of 1964. At present households' consumption demand is almost stationary, and private productive investment seems entirely so.

TABLE 22. COMPARISON OF IVth PLAN TARGETS WITH ACHIEVEMENTS, BY INDUSTRIES

PRODUCTION BY VOLUME

| | | INDEX FORECAST 1959=100 | AVERAGE GROWTH RATES | | GROWTH RATE NECESSARY IN 1965 TO FULFIL FORECAST |
|---|---|---|---|---|---|
| | | | ACHIEVED | FORECAST | |
| | | 1965 | 1964/1959 | 1965/1959 | |
| 01. | Agriculture and forestry products | 130.5 | 3.7 | 4.5 | 8.9 |
| 02. | Agriculture and food industries products | 129.0 | 3.8 | 4.3 | 7.1 |
| 03A. | Solid mineral fuels | 90.0 | — 0.7 | — 1.8 | — 6.4 |
| 03B. | Gas delivered | 151.5 | 8.9 | 7.2 | — 1.2 |
| 04. | Electricity, water etc. | 181.5 | 9.0 | 10.4 | 17.9 |
| 05. | Natural gas and oil products | 149.5 | 9.9 | 6.9 | — 6.6 |
| 06A. | Building materials and ceramics | 137.0 | 8.4 | 5.4 | — 8.3 |
| 06B. | Glass | 147.0 | 8.4 | 6.7 | — 1.7 |
| 07. | Iron ore, iron and steel products | 144.5 | 4.9 | 6.3 | 13.6 |
| 08. | Non-ferrous ores and metals | 156.5 | 5.5 | 7.7 | 19.6 |
| 99A. | Forgings, castings and other metal working | 139.5 | 6.0 | 5.7 | 4.3 |
| 09B. | Machinery and engineering goods | 150.0 | 6.3 | 7.0 | 10.4 |
| 09C. | Electrical machinery and goods | 180.0 | 10.7 | 10.2 | 8.3 |
| 09D. | Motor vehicles, motorcycles and cycles | 140.0 | 6.2 | 5.8 | 3.8 |
| 09E. | Naval and aeronautical construction, and munitions | 104.5 | 6.4 | 0.7 | —23.4 |
| 10. | Chemicals and rubber | 157.5 | 9.2 | 7.8 | 1.4 |
| 11A. | Textiles | 131.0 | 6.6 | 4.6 | — 5.0 |
| 11B. | Clothing | 137.0 | 5.4 | 5.4 | 5.4 |
| 11C. | Leather | 123.0 | 4.7 | 3.5 | — 2.1 |
| 12A. | Wood products | 133.0 | 4.2 | 4.9 | 8.2 |
| 12B. | Pulp, paper and board | 148.5 | 7.4 | 6.8 | 3.7 |
| 12C. | Printing and publishing | 143.0 | 6.1 | 6.1 | 6.1 |
| 12D. | Miscellaneous industrial products | 166.0 | 10.0 | 9.2 | 3.2 |
| 13. | Building and public works | 146.0 | 7.9 | 6.5 | — 0.1 |
| 14A. | Transport | 129.5 | 4.9 | 4.4 | 1.7 |
| 14B. | Communications | 152.0 | 8.4 | 7.2 | 1.3 |
| 15. | Housing services | 134.5 | 5.8 | 5.1 | 1.5 |
| 16. | Other services | 142.0 | 7.3 | 6.0 | 6.1 |

*Source:* Rapport sur les Comptes de la Nation.

Since the beginning of 1965 the relatively low level of imports combined with expanding exports has produced a credit balance in current payments.

Official forecasts anticipate an increase in volume of domestic production of 2.5 per cent in 1965 (which implies a strong recovery in the Autumn) and of 4 per cent in 1966. These forecasts are based mainly on the assumption of a spontaneous change in consumer behaviour which will increase consumption demand and thus stimulate investment. On the basis of this prognosis the authorities have gradually been moving towards a policy of de-restriction and moderate stimulation rather than one of wholehearted reflation.

TABLE 23. **ROUGH FORECASTS UP TO 1970 AND FORECASTS FOR 1966**

EQUILIBRIUM LEVELS OF RESOURCES AND USES OF GOODS AND SERVICES

| | ANNUAL AVERAGE GROWTH RATE 1970/1965 | GROWTH RATE FORECAST FOR 1966 |
|---|---|---|
| Gross domestic product | 5.0 | 4 |
| Imports | 9.6 | 7.8 |
| Exports | 9.4 | 7.1 |
| Total resources available | 5.0 | — |
| Net consumption : | | |
| households | 4.5 | 3.5 |
| general government | 6.6 | 5.1 |
| financial institutions | 6.3 | 5.0 |
| Gross fixed asset formation : | | |
| productive | 5.7 | 3.5 |
| housing | 6.0 | 3.6 |
| general government | 9.1 | 6.5 |
| Total of domestic uses | 5.0 | — |

*Sources:* Report on choices for the IVth Plan. *J.O.* : Annex to the Act of 22nd December, 1964, approving the report on the principal choices for the IVth Plan.

There is still room for doubt as to the likelihood of a spontaneous upturn of demand and growth in Autumn 1965, and even more as to the vigour and durability of such a recovery. Among the factors sustaining the level of activity in recent months, residential construction looks as if it is running out of steam, and exports may well increase more slowly from now on because of the probable slowdown in the expansion of world trade. As for private productive investment, the uncertain prospects for consumption demand give grounds for fearing that it will tail off even more, in spite of easier conditions for raising finance.

If the expected recovery does not materialise early in Autumn it would seem desirable for the authorities to step up considerably their policy of stimulation, so as to prevent any further decline in the degree of utilisation of potential productive capacity. If they did this it would be necessary to consider, in addition to appropriate measures for facilitating the financing of investment, the stimulation of consumption demand by the reduction of taxes, increased social security payments and, more generally, increased public expenditure. These measures should be chosen in such a way as to minimise the risks of the re-emergence of inflationary pressures. They could be toned down once the revival of private productive investment had been achieved.

But at present the risks of a return to inflation seem slight. The French economy disposes of margins of unused capacity and manpower. One of the more positive aspects of the policy of stabilization has been to create room for such margins, so that the economy can function under conditions of much less pressure than in the past. Nevertheless, if this policy is continued too long it may well entail, quite apart from the losses of resources which it must involve, the disadvantages of discouraging investment and therefore productivity improvements. It may also accentuate the structural rigidity of the economy and the defensive reflexes of those in entrenched positions. The task of economic policy in France from now on must be to ensure that expansion keeps in step with the growth in productive capacity, while at the same time every effort is made to preserve the margins achieved during the last two years. This will necessitate no doubt a more frequent and sensitive manipulation of the various instruments of counter-cyclical policy.

Over and above internal considerations, international considerations are at present working in favour of a policy of reflation. Most of the OECD countries seem to be entering on a phase of slower growth, and some of them are having to hold back internal demand on balance-of-payment grounds. France on the other hand is not at present experiencing such difficulties, and is therefore in a better position to apply an expansionist policy. This would both help to stimulate world trade and underwrite the future performance of French exports.

In the longer run there is no doubt that an industrialised country like France ought to aim at a substantial surplus in foreign payments on current account. This is the necessary pre-condition for providing a net outflow of long-term capital. But this again can only be achieved by a policy of balanced growth which provides industry with the incentive to bring itself up to date and improve its ability to compete.

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*STATISTICAL ANNEX*

TABLE 1.

## ECONOMIC ACTIVITY

| PRODUCTION | UNIT OR BASE | 1961 | 1962 | 1963 | 1964 | 1963 1ST QTR. | 1963 2ND QTR. | 1963 3RD QTR. | 1963 4TH QTR. | 1964 1ST QTR. | 1964 2ND QTR. | 1964 3RD QTR. | 1964 4TH QTR. | 1965 1ST QTR. | 1965 APRIL | 1965 MAY |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 1. Industrial production[1] | 1960 = 100 | 106 | 112 | 117 | 126 | 110 | 119 | 119 | 123 | 126 | 128 | 123 | 126 | 125 | 127 | 127 |
| 2. Building and public works[1] | — | 107 | 114 | 121 | 138 | 97 | 127 | 129 | 128 | 135 | 138 | 136 | 142 | 141 | 148 | |
| 3. Housing units authorised (quaterly average | thousands | 90.8 | 105.3 | 131.4 | 147.2 | 107.8 | 120.8 | 146.3 | 150.7 | 129.8 | 143.4 | 128.5 | 187.4 | | | |
| 4. Energy production[1] | 1959 = 100 | 119 | 130 | 138 | 147 | 138 | 136 | 138 | 141 | 147 | 144 | 143 | 152 | 156 | 152 | |
| 5. Metal products | 1960 = 100 | 106 | 115 | 119 | 126 | 114 | 119 | 119 | 123 | 128 | 128 | 123 | 123 | 123 | 125 | |
| TRANSPORT : | | | | | | | | | | | | | | | | |
| 6. SNCF goods traffic (monthly average) | millions of ton-km | 4.003 | 5.098 | 5.249 | 5.439 | 4.987 | 5.120 | 4.947 | 5.643 | 5.540 | 5.543 | 4.980 | 5.690 | 5.133 | 5.131 | |
| 7. SNCF passenger traffic (monthly average) | millions of passenger-km | 2.790 | 2.980 | 3.050 | 3.160 | 2.620 | 3.106 | 3.583 | 2.900 | 2.790 | 3.150 | 3.730 | 2.960 | 2.650 | 3.200 | |
| INTERNAL TRADE : | | | | | | | | | | | | | | | | |
| 8. Turnover of department stores in Paris | 1950 = 100 | 427 | 488 | 547 | 562 | 463 | 497 | 480 | 749 | 506 | 516 | 460 | 765 | | | |
| 9. Multiple stores | — | 367 | 410 | 461 | 514 | 431 | 456 | 460 | 501 | 484 | 506 | 521 | 544 | 519 | | |
| EMPLOYMENT (all activities)[2] : | | | | | | | | | | | | | | | | |
| 10. Index of labour force | 1954 = 100 | 105.7 | 107.2 | 109.8 | 111.3 | 109.0 | 110.0 | 110.7 | 110.4 | 110.8 | 111.7 | 112.7 | 112.1 | 110.9 | | |
| 11. Working week | hours | 45.9 | 46.1 | 45.9 | 45.9 | 46.0 | 46.3 | 46.3 | 45.8 | 45.8 | 46.2 | 46.0 | 45.2 | 45.4 | | |
| 12. Index of the level of activity | 1954 = 100 | 107.9 | 109.7 | 112.0 | 113.5 | 112.3 | 113.2 | 113.9 | 112.4 | 112.8 | 114.7 | 114.6 | 111.3 | 111.7 | | |
| 13. Unfilled vacancies[3] | thousands | 37.1 | 55.0 | 55.0 | 45.4 | 60.2 | 54.8 | 56.8 | 52.6 | 43.6 | 52.5 | 50.8 | 97.9 | 23.0 | 29.5 | 31.1 |
| 14. Outstanding applications for employment[3] | thousands | 112 | 101 | 96.8 | 97.0 | 117.4 | 101.8 | 78.6 | 90.4 | 106.8 | 94.8 | 78.0 | 104.3 | 146.9 | 153.0 | 141.8 |
| 15. Unemployment receiving assistance[1] | thousands | 27.9 | 21.7 | 22.0 | 24.3 | 19.5 | 24.3 | 19.2 | 21.8 | 25.1 | 20.9 | 21.4 | 27.1 | 33.3 | 32.4 | 31.8 |
| 16. Permanent immigrant workers, monthly average | number | 6.573 | 9.418 | 9.627 | 12.811 | 8.924 | 10.749 | 9.045 | 9.788 | 11.000 | 14.968 | 10.906 | 14.368 | 14.040 | 15.552 | |

1. Index corrected for seasonal variations. Annual data for industrial production are calculated on a broader basis than monthly data.
2. End of quarter or month. Annual data are averages of the monthly data.
3. Quarterly average.
*Source :* " INSEE " Bulletin mensuel de statistique ", " Études et conjoncture " and OECD Statistical Bulletins.

TABLE

| | UNIT OR BASE | 1961 | 1962 | 1963 |
|---|---|---|---|---|
| WHOLESALE PRICES : | | | | |
| 1. General index of wholesale prices | 1949 = 100 | 198.1 | 188.1 | 195.0 |
| 2. Farmers' prices | 1955 = 100 | 142.3 | 151.3 | 164.8 |
| 3. Imported industrial raw materials | 1949 = 100 | 217.1 | 168.1 | 180.6 |
| 4. Consumer price index[1] | 1960 = 100 | 103.3 | 108.3 | 113.5 |
| 5. Index of fresh fruit and vegetables[2] | 1957 = 100 | 109.7 | 127.1 | 135.9 |
| WAGES : | | | | |
| 6. SMIG | Francs/hour | | | |
| 7. Hourley wage rate, all private activities | Jan. 1956 = 100 | 1.672 | 1.724 | 1.844 |
| 8. Net monthly remuneration of government | Jan. 1951 = 100 | 152.7 | 165.9 | 180.8 |
| employees | gross index : 370 | 217.7 | 237.2 | 261.8 |

1. Until December 31, 1962, index of 250 articles; since January 1st, 1963, index of 259 articles.
*Source :* OECD General Statistics; INSEE " Bulletin mensuel de statistique ".



## PRICES AND WAGES

| 1964 | 1963 | | | | 1964 | | | | 1965 | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 1ST QTR. | 2ND QTR. | 3RD QTR. | 4TH QTR. | 1ST QTR. | 2ND QTR. | 3RD QTR. | 4TH QTR. | 1ST QTR. | APRIL |
| 198.1 | 192.4 | 192.8 | 195.3 | 200.3 | 196.3 | 198.3 | 198.0 | 201.8 | 200.0 | 200.8 |
| 164.0 | 160.7 | 165.2 | 160.6 | 171.4 | 161.6 | 169.0 | 166.2 | 165.0 | 165.2 | 165.6 |
| 196.5 | 176.4 | 180.7 | 181.7 | 191.0 | 197.2 | 196.5 | 198.8 | 194.8 | 196.3 | 198.4 |
| 117.4 | 111.5 | 112.7 | 114.3 | 115.5 | 116.3 | 116.6 | 117.5 | 118.2 | 119.1 | |
| 130.7 | 152.2 | 141.7 | 149.2 | 116.1 | 120.1 | 135.2 | 139.4 | 127.7 | 130.8 | 131.8 |
| 1.894 | 1.806 | 1.806 | 1.882 | 1.882 | 1.882 | 1.882 | 1.929 | 1.929 | 1.968 | 1.968 |
| 194.1 | 173.7 | 176.9 | 184.6 | 184.6 | 191.0 | 191.0 | 194.6 | 197.0 | 199.9 | 202.5 |
| 278.2 | 252.9 | 263.0 | 263.0 | 268.4 | 272.5 | 278.2 | 281.7 | 283.5 | 283.2 | 288.8 |

TABLE 3

## MONEY AND CREDIT

*In billions of francs, end of month.*

| | DEC. 1959 | DEC. 1960 | DEC. 1961 | DEC. 1962 | 1963 MARCH | 1963 JUNE | 1963 SEPT. | 1963 DEC. | 1964 MARCH | 1964 JUNE | 1964 SEPT. | 1964 DEC. | 1965 MARCH |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MONEY SUPPLY : | | | | | | | | | | | | | |
| 1. Note circulation | 34.95 | 39.32 | 44.35 | 50.08 | 50.13 | 52.33 | 53.78 | 55.78 | 55.06 | 56.76 | 57.63 | 59.54 | 59.04 |
| 2. Sight deposits | 48.21 | 55.34 | 65.00 | 79.01 | 80.26 | 83.51 | 87.74 | 92.21 | 91.68 | 93.49 | 95.76 | 100.39 | 98.86 |
| 3. Coinage | 0.76 | 1.13 | 1.28 | 1.48 | 1.54 | 1.62 | 1.68 | 1.77 | 1.80 | 1.86 | 1.91 | 1.99 | 2.01 |
| Total | 83.92 | 95.79 | 110.63 | 130.57 | 131.93 | 137.46 | 143.20 | 149.76 | 148.54 | 152.11 | 155.30 | 161.92 | 159.91 |
| 5. Time deposits | 5.43 | 7.58 | 9.66 | 10.94 | 10.49 | 10.80 | 10.64 | 10.63 | 11.27 | 11.31 | 11.59 | 12.06 | 12.86 |
| 6. Special accounts | 0.85 | 1.43 | 2.04 | 2.97 | 3.26 | 3.42 | 3.66 | 3.94 | 4.30 | 4.51 | 4.83 | 511 | 5.34 |
| COUNTERPART OF MONEY SUPPLY AND TIME DEPOSITS : | | | | | | | | | | | | | |
| 7. Claims on the State | 31.31 | 33.33 | 34.62 | 37.58 | 40.57 | 40.72 | 44.25 | 41.33 | 43.18 | 42.29 | 43.26 | 41.09 | 41.78 |
| 8. Short-term credit | 28.26 | 46.35 | 55.44 | 64.79 | 67.34 | 70.00 | 71.63 | 75.27 | 75.32 | 76.61 | 77.64 | 82.16 | 79.73 |
| 9. Medium-term credit financed by the banks | 15.61 | 15.29 | 17.18 | 22.85 | 18.34 | 20.13 | 19.90 | 23.66 | 20.66 | 21.01 | 22.24 | 27.17 | 25,25 |
| 10. Total bank credit to the economy | 53.87 | 61.64 | 72.62 | 87.64 | 85.68 | 90.13 | 90.73 | 98.34 | 95.98 | 97.62 | 99.88 | 109.33 | 104.98 |
| 11. Gold and foreign exchange : surplus of assets over liabilities | 7.16 | 10.48 | 15.27 | 20.06 | 21.97 | 23.24 | 23.50 | 24.22 | 24.64 | 26.07 | 26.60 | 28.02 | 29.41 |
| OTHER FINANCIAL TRANSACTIONS : | | | | | | | | | | | | | |
| 12. Savings bank deposits | 25.27 | 29.51 | 33.20 | 38.12 | 39.70 | 40.35 | 41.52 | 43.56 | 46.50 | 47.71 | 49.44 | 52.12 | 53.96 |
| 13. Medium-term credit financed by specialised agencies and financial establishments | 3.23 | 4.51 | 4.48 | 3.64 | 6.87 | 6.25 | 8.16 | 4.46 | 8.20 | 8.07 | 8.16 | 6.58 | 9.46 |
| 14. Yields on new issues of private company debentures | 5.90 | 5.76 | 5.74 | 5.76 | 5.70 | 5.71 | 5.70 | 5.69 | 5.69 | 5.69 | 5.73 | 5.73 | 6.55 |

*Source :* Conseil national de Crédit.

## TABLE 4a. GLOBAL EXTERNAL TRADE OF METROPOLITAN FRANCE

| | BASE OR UNIT | 1961 | 1962 | 1963 | 1964 | 1963 1ST QTR. | 1963 2ND QTR. | 1963 3RD QTR. | 1963 4TH QTR. | 1964 1ST QTR. | 1964 2ND QTR. | 1964 3RD QTR. | 1964 4TH QTR. | 1965 1ST QTR. | 1965 APRIL | 1965 MAY |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| I. *Value:* | | | | | | | | | | | | | | | | |
| 1. Imports c.i.f., monthly averages | $ million | 557 | 627 | 728 | 839 | 682 | 758 | 658 | 812 | 863 | 889 | 743 | 862 | 849 | 891 | 875 |
| 2. Exports f.o.b., monthly averages | — | 602 | 614 | 674 | 750 | 629 | 702 | 627 | 737 | 750 | 758 | 669 | 821 | 789 | 841 | 857 |
| 3. Balance | — | 45 | —13 | —54 | —90 | —53 | —56 | —32 | —75 | —113 | —131 | —74 | —41 | —61 | —50 | —18 |
| 4. Imports c.i.f.[1] | — | | | | | 663 | 713 | 733 | 802 | 838 | 825 | 829 | 864 | 826 | 823 | 803 |
| 5. Exports f.o.b.[1] | — | | | | | 623 | 691 | 689 | 692 | 742 | 737 | 735 | 782 | 777 | 834 | 834 |
| 6. Trade balance | | | | | | —40 | —22 | —44 | —110 | —97 | —88 | —94 | —82 | —49 | 11 | 31 |
| II. *Volume:* | | | | | | | | | | | | | | | | |
| 7. Index of volume of imports | 1960 = 100 | 109 | 123 | 142 | 160 | 130 | 148 | 126 | 159 | 165 | 171 | 142 | 164 | 160 | | |
| 8. Index of volume of exports | — | 106 | 107 | 196 | 125 | 109 | 121 | 110 | 125 | 124 | 126 | 111 | 136 | 131 | | |
| III. *Prices:* | | | | | | | | | | | | | | | | |
| 9. Index of average imports values | — | 98 | 97 | 98 | 100 | 100 | 98 | 100 | 98 | 100 | 99 | 100 | 100 | 102 | | |
| 10. Index of average exports values | — | 100 | 100 | 101 | 105 | 101 | 102 | 100 | 103 | 106 | 105 | 105 | 106 | 106 | | |
| 11. Terms of trade | — | 102 | 103 | 103 | | 102 | 104 | 100 | 105 | 106 | 106 | 105 | 106 | 104 | | |

1. Corrected for seasonal variations.
*Source:* OECD Statistical Bulletins.

## TABLE 4b. EXTERNAL TRADE OF METROPOLITAN FRANCE WITH FOREIGN COUNTRIES

| | BASE OR UNIT | 1961 | 1962 | 1963 | 1964 | 1st QTR. | 1963 2nd QTR. | 1963 3rd QTR. | 1963 4th QTR. | 1946 1st QTR. | 1946 2nd QTR. | 1946 3rd QTR. | 1946 4th QTR. | 1965 1st QTR. | 1965 APRIL |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 1. Imports c.i.f. | $ million | 433 | 497 | 600 | 703 | 551 | 619 | 549 | 681 | 723 | 732 | 623 | 734 | 727 | 751 |
| 2. Exports f.o.b. | — | 445 | 490 | 545 | 618 | 498 | 568 | 512 | 604 | 610 | 630 | 557 | 674 | 659 | 707 |
| 3. Balance | — | 12 | —6 | —55 | —85 | —54 | —51 | —37 | —77 | —113 | —102 | —66 | —60 | —68 | —44 |
| 4. Imports c.i.f.[1] | — | 433 | 497 | 600 | 703 | 534 | 590 | 609 | 670 | 699 | 688 | 691 | 732 | 704 | 701 |
| 5. Exports f.o.b.[1] | — | 445 | 490 | 545 | 618 | 500 | 553 | 554 | 575 | 610 | 606 | 605 | 649 | 657 | 701 |
| 6. Trade balance | — | 12 | —6 | —55 | —85 | —34 | —38 | —54 | —95 | —89 | —82 | —87 | —83 | —47 | 1 |

1. Corrected for seasonal variations.
*Source:* OECD Statistical Bulletins.

TABLE

## BALANCE OF PAYMENTS

*In millions of dollars.*

| | 1961 | | | 1962 | | | 1963 | | | 1964 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | RECEIPTS | EXPEN-DITURE | BALANC | RECEIPTS | EXPEN-DITURE | BALANCE | RECEIPTS | EXPEN-DITURE | BALANCE | RECEIPTS | EXPEN-DITURE | BALANCE |
| I. *Goods, services and private transactions:* | | | | | | | | | | | | |
| 1. Merchandise | 5,191 | 4,774 | +417 | 5.864 | 5.364 | +500 | 6.745 | 6.568 | +177 | 7.587 | 7.700 | —113 |
| 2. Non-government services | 1,699 | 1,331 | +368 | 1.873 | 1.631 | +242 | 2.074 | 1.938 | +136 | 2.467 | 2.437 | + 30 |
| 3. Government transactions | 416 | 318 | + 98 | 303 | 257 | + 46 | 334 | 265 | + 69 | 347 | 278 | + 69 |
| 4. Private transfers | 116 | 21 | + 95 | 138 | 23 | +115 | 141 | 27 | +114 | 163 | 37 | +126 |
| 5. Balance of current payments | 7,422 | 6,444 | +978 | 8,178 | 7,275 | +903 | 9,294 | 8.798 | +496 | 10,564 | 10,453 | +111 |
| II. *Capital transactions:* | | | | | | | | | | | | |
| 6. French loans and private investment | 125 | 182 | — 57 | 392 | 455 | — 63 | 499 | 440 | + 59 | 603 | 605 | — 2 |
| 7. Foreign loans and private investment | 709 | 282 | +427 | 863 | 398 | +456 | 802 | 345 | +457 | 890 | 340 | +550 |
| 8. Debt and public investment | 1 | 441 | —440 | 3 | 725 | —722 | 4 | 433 | —429 | 15 | 97 | + 82 |
| 9. Total | 835 | 905 | — 70 | 1,258 | 1,578 | —320 | 1,305 | 1,218 | + 87 | 1,508 | 1,042 | +466 |
| III. *Other non-monetary transactions:* | | | | | | | | | | | | |
| 10. Government grants | 33 | 59 | — 26 | 33 | 93 | — 60 | 34 | 20 | + 14 | 2 | 27 | — 25 |
| 11. Balances with overseas countries and transactions connected with changes in the composition of the franc zone | 125 | — | +125 | 138 | — | +138 | 132 | — | +132 | 260 | | +260 |
| 12. Transactions in course of settlement, errors and omissions | 81 | 138 | — 57 | 80 | 156 | — 76 | 89 | 164 | — 75 | 63 | | + 36 |
| 13. Total | 239 | 197 | + 42 | 251 | 249 | + 2 | 255 | 184 | + 71 | 325 | 27 | +199 |
| 14. Grand total | 8,496 | 7,546 | +950 | 9,687 | 9,102 | +585 | 10,854 | 10,200 | +654 | 12,397 | 11,521 | 776 |

*Source:* Ministry of Finance.

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